LOAN PROGRAMS AND UNDERWRITING GUIDELINES MANUAL

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VERSION 2.4

CONFIDENTIAL & PROPRIETARY

1. INTRODUCTION

MoXi (Global Mortgage Group, LLC) and its affiliates ("Global," "MoXi," or the "Company") provide lending services in Mexico exclusively to non-Mexican nationals. These guidelines provide direction and consistency with respect to the Company's loan programs, borrower credit underwriting procedures and property eligibility policies.

Because the Mexican Constitution prohibits non-Mexican nationals from purchasing or owning real estate within 60 miles of the United States ("US") international border, or within 30 miles of the Mexican coast, MoXi - a Global Mortgage Company (and the borrower) use a Mexican trust structure called a fideicomiso ("Trust"). This is a trust agreement, much like an estate trust in the US, which gives the purchaser all the rights of ownership while the Mexican bank, or trustee, serves as the actual purchaser and holder of the property deed. In order to gain the rights of ownership, the Department of Foreign Affairs in Mexico City issues a permit to the Mexican bank, allowing the bank to act as purchaser of the property. The bank acts as the trustee for the Trust and the purchaser is the beneficiary.

There is more than one structure for the Trust, in some structures a mortgage is issued while in others MoXi, as lender, will serve as first place beneficiary to the Trust, and no "mortgage" is required. Any reference herein to the term "mortgage" shall be used interchangeably with the term "loan" or "promissory note" regardless of the Trust structure used to originate the loan.

1.1 LOAN MANUFACTURING PHILOSOPHY

MoXi's guidelines establish the criteria under which a loan will be eligible for funding. Given the unique nature of the Mexican real estate market and lending to non-foreign nationals in Mexico, the Company has established lending criteria that addresses both US and Mexico laws, where applicable, with specific focus on anti-money laundering regulations in both countries.

MoXi's marketing and lead generation program includes, but is not limited to, developers, real estate agents, mortgage brokers and individual buyers as well as online, magazine and newspaper advertising, radio and local television shows. In Mexico, unlike the US, brokers can be incentivized to use MoXi's products and can be paid a commission on a graduated scale, depending on the size of the closed loan.

MoXi has a no-tolerance policy as it relates to fraud. Brokers should follow their own established fraud and identity procedures on every loan in an effort to prevent and detect fraud. Loans containing fraudulent documentation or information will immediately be declined and forwarded for further review. If there is any determination of broker involvement, the broker will be terminated, and the appropriate agencies notified. MoXi will also pursue borrower fraud to the fullest extent of the law.

1.2 FAIR LENDING STATEMENT

MoXi operates in accordance with the provisions of the Fair Housing Act and Equal Credit Opportunity Act and fully supports the letter and spirit of both of these laws and will not condone discrimination in any mortgage transaction.

The Fair Housing Act makes it unlawful to discriminate in housing-related activities on the basis of race, color, religion, national origin, sex, handicap, or familial status.

The Equal Credit Opportunity Act prohibits discrimination with respect to any aspect of a credit transaction on the basis of sex, race, color, religion, national origin, marital status, age (provided the borrower has the capacity to enter into a binding contract), receipt of public assistance, or because the borrower has in good faith exercised any right under the Consumer Credit Protection Act.

1.3 RESPONSIBLE LENDING STATEMENT

The primary focus of this lending program is the borrower's ability to repay the loan obligation. Loans originated by MoXi should be affordable to the borrower after considering the borrower's amount of income, sources of income, disposable assets, housing and non-housing related debt obligations, employment status and other factors that may influence a borrower's ability to make debt servicepayments over the life of the loan.

While MoXi is not required to adhere to certain lending laws in the US, the Company voluntarily elects to follow certain procedural requirements in the normal course of originating residential loans in Mexico. The Company adheres to the general ability-to-repay ("ATR") standard that requires US lenders to make a reasonable, good-faith determination that the consumer has a reasonable ability to repay the loan. MoXi will verify information using third-party records that provide reasonably reliable evidence of stable income, employment, assets and a borrower's debt service obligations.

If a loan is subject to the ATR rules under the Federal Truth in Lending Act ("TILA"), US lenders must consider eight underwriting factors to be in compliance:

- Current or reasonably expected income or assets (other than the value of the property that secures the loan) that the consumer will rely on to repay the loan
- Current employment status (if you rely on employment income when assessing the consumer's
- ability to repay)
- Monthly mortgage payment for this loan calculated using the introductory or fully indexed rate, whichever is higher, and monthly, fully amortizing payments that are substantially equal
- Monthly payment on any simultaneous loans secured by the same property
- Monthly payments for property taxes and insurance that require the consumer to buy, and certain
- other costs related to the property such as homeowner's association fees or ground rent
- Debts, alimony, and child support obligations
- Monthly debt-to-income ratio or residual income, that is calculated using the total of all of the mortgage and non-mortgage obligations listed above, as a ratio of gross monthly income
- Credit history

While MoXi's loans are exempt from TILA and the ATR rule, the Company will not fund a loan unless it meets the general requirements of the rule. MoXi may choose to fund a loan that does not adhere to theformal requirements of the ATR rule, but in each case will only fund loans where the applicant is deemed able to afford the loan based on the application of prudent underwriting standards set forth herein.

2. GENERAL PROGRAM INFORMATION

2.1 PROGRAMS

MoXi offers three loan programs. See the MoXi Matrices for details:

- MoXi Purchase Program
- MoXi Rate Term Refinance Program
- MoXi Cash-Out Refinance Program

2.2 PRODUCTS

MoXi only originates fully amortizing, fixed rate loans with maturities of thirty (30) years or less.

2.3 LOAN AMOUNTS AND LOAN-TO-VALUES

See MoXi Matrices

Financed Closing Costs - LTV Enhancement Policy – Select Transactions Only

Given current market conditions, this program has been temporarily suspended effective with conditional loan approval decisions issued after 12/1/2022.

Additional Guidance: the maximum allowable LTV is 65% in most cases. Exceptions may be granted with exceptional compensating factors and at MoXi credit committee discretion, but in all cases, LTV may never exceed 69.99%.

Financed closing costs and prepaid items in connection with the closing of a mortgage transaction may be financed into the loan amount and may allow for an enhancement to the maximum permissible LTV according to the matrix. This enhancement allows for an increase to maximum policy LTV by an additional 5% provided ALL conditions for the enhancement are met. Note that this enhancement is not an exception to credit policy.

Enhancement Details and Conditions:

- 5% LTV enhancement is permitted only where the proceeds of the increased loan amount are exclusively used to finance borrower paid closing costs as outlined below

- Notwithstanding other terms for LTV calculation, LTV is to be calculated on purchase transaction using the lower of the purchase price or appraised value

- The LTV enhancement is restricted to files that meet the following criteria:
    - Borrower representative FICO is 720+ and no policy exception is made for DTI, LTV, FICO, or collateral

- LTV Enhancements can only be to cover financed closing costs, fees, and prepaids like:
  - Origination, Underwriting, Closing, Doc Prep, SOFOM Opening fees
  - Notario or other 3rd party fees and charges including but not limited to: title insurance premiums, fiduciary setup fee, first year fiduciary annual fee, recording charges
  - Prepaids/impounds – property tax, HOI
- The additional 5% LTV enhancement cannot be used toward items such as:
  - Appliance or interior design packages from the developer
  - Furniture
  - Other personal property inventory like cars, country club or golf course memberships

- Cash-out or partial cash-out refinance transactions where proceeds net of all closing costs and prepaids due to borrower(s) at closing exceed $100,000 are ineligible for this LTV enhancement

2.4 DOCUMENTATION

All loans require the following documentation:

- Full Documentation including but not limited to:
  - Bank statements
  - Personal documentation (valid drivers' license, color passport, Social Security card, birth certificate)
  - Proof of residency (utility bills etc.)
  - 2 years tax returns
  - 2 years W2's
  - 30 days valid pay documentation
  - 2-year 4506T (from US government)
  - 6166 US Tax Residency Form

2.5 PREPAYMENT PENALTIES, POINTS, AND FEES

MoXi is not subject US federal, state or local law concerning high-cost loans, however, total points, fees, and annual percentage rate ("APR") may not exceed those approved by CONDUSEF, SAT and the applicable trustee.

MoXi Mortgage offers loans with and without prepayment penalties at the option of the borrower. The prepayment penalty is available with a 3/2/1 annual adjustment schedule. Under the 3/2/1 structure, the loan is subject to the following prepayment penalty, calculated as a percentage of the outstanding principalbalance at the time of payoff.

- Months 0-12 = 3%
- Months 13-24 = 2%
- Months 25-36 = 1%

The prepayment penalty trigger will occur with any additional payments and/or lump sum amounts totaling 15.01% or more of the beginning principal balance each year, inclusive of regular required monthly payments.

For example, assuming the original principal balance of the loan is $200,000. In order to avoid the prepayment penalty in year 1, the outstanding principal balance, including regularly scheduled principal repayment, cannot be less than 85% of the original principal balance. For year one, to avoid the penalty of 3%, the principal balance at the end of the first year cannot be lower than $170,000.

Continuing the example, if the starting unpaid principal balance in year 2 is $180,000, in order to avoid the prepayment penalty of 2%, the principal balance at the end of year 2 cannot be less than $153,000.

Finally, in the example, if the starting balance in year 3 is $165,000, in order to avoid the prepayment penalty of 1%, the principal balance at the end of year 3 cannot be less than $140,250.

MoXi is required to file its fees, or the maximum amount of fees charged to any borrower, with the public fee registry. Only the fees filed with the public fee registry may be charged, and in no event shallany fee charged to a borrower exceed that which is filed with the public fee registry. The fees filed withthe public fee registry as of the date of this manual are set forth below:

- Default Interest
- Late Fees
- Liquidated Damages
- Prepayment Penalties

2.6 MEXICAN GEOGRAPHIC RESTRICTIONS

MoXi may originate loans whose properties are located in Mexico's Restricted Zone. In addition, MoXimay originate loans in non-Restricted Zone areas within the following states:

- Baja California
- Baja California Sur
- Chihuahua
- Distrito Federal
- Guanajuato
- Jalisco
- Mexico
- Michoacan
- Nayarit
- Nuevo Leon
- Oaxaca
- Queretaro
- Quintana Roo
- Sonora
- Yucatan

2.7 EXCEPTIONS

Exceptions to published guidelines are considered on a case-by-case basis. Loans with exception requests should exhibit strong compensating factors. All exception requests must be submitted in writing to MoXi's Credit Committee along with any supporting documentation. Exceptions are approved or denied by MoXi's Credit Committee and may include price adjustments for risk, as determined by the Committee.

3. TRANSACTIONS

3.1 OCCUPANCY

3.1.1. PRIMARY RESIDENCE

A primary residence (or owner-occupied property) is a dwelling occupied by the borrower as his or principal residence.

To qualify as a primary residence, the transaction must meet each of the following criteria:

- Property is located in the same general area as the borrower's employment except in the case of remote work arrangements, if any
- Borrower intends to occupy the subject property during the calendar year
- Property possesses physical characteristics that accommodate the borrower's family

Any borrower application stating the property will be used as a primary residence should be confirmed that the borrower is not a Mexican national. Currently, Mexican nationals are not eligible for MoXi loan program(s), except as outlined below for Mexican-born US Citizens or US Permanent Residents.

3.1.2. SECOND HOME

A second home is a dwelling occupied by the borrower in addition to their primary residence (may also be referred to as a vacation home).

Typical second homes should meet the following criteria:

- Be located a reasonable distance away from the borrower's primary residence
- Must be occupied by the borrower for some portion of the year
  - Second homes used as a vacation property may show rental income on tax returns, acceptable as long as tax returns support personal use days.
- Suitable for year-round occupancy
- Borrower must have exclusive control over the property
- Must not be subject to any timeshare arrangements

3.1.3. INVESTMENT PROPERTY

An investment property (or non-owner-occupied property) is an income-producing property that the borrower does not occupy at any time during the calendar year.

3.2 PURCHASE

A purchase transaction is one in which the borrower is acquiring a property from a bona fide third-party seller. A copy of the fully executed purchase contract and all attachments or addenda is required.

3.3 GENERAL REFINANCE REQUIREMENTS

Rate/term refinance and cash-out refinance transactions are allowed.

3.3.1. DETERMINING LOAN-TO-VALUE

If the subject property was acquired more than 6 (six) months from application date, a recent Mexican commercial appraised value must be used to determine loan-to-value.

If the property was acquired within 6 (six) months from application date, the lesser of (i) the current Mexican commercial appraised property value, or (ii) previous purchase price plus documented improvements (if any) must be used. The purchase settlement statement and any invoices for materials/labor will be required to the extent improvements are included.

3.3.2. BENEFIT TO BORROWER

In keeping with the commitment of responsible lending, all refinance transactions must have a measurable benefit to the borrower.

When determining the benefit on a refinance transaction, one or more of the following must exist to support the benefit to the borrower:

- Balloon payoff
- Property retention
- Rate reduction
- P&I reduction
- Debt reduction
- Cash-Out Proceeds/Liquidity

Underwriters are to reference the benefit to borrower in the underwriting rationale in order to ensure compliance detailing benefit to borrower policy.

3.3.3. PROPERTIES LISTED FOR SALE

To be eligible for either a rate/term or a cash-out refinance, the subject property must be taken off the market on or before application date. The borrower must also confirm in writing the reason for the prior listing and intent to occupy the subject property.

For cash-out transactions, if the subject property was listed for sale in the 6 months prior to application date, a 10% LTV reduction from the maximum available for the specific transaction is required.

The lesser of the most recent list price (if listed within the prior 6-month period) or the current appraised value should be used to determine loan-to-value for any refinance transaction.

3.4 RATE/TERM REFINANCE

A rate/term refinance is the refinancing of an existing loan for the purpose of changing the interest and/or term of a loan without advancing new money on the loan.

The loan amount for a rate/term refinance is limited to the sum of the following:

- Existing first lien payoff
- Closing costs and prepaid items (interest, taxes, insurance, trustee fees) on the new loan
- The amount of any subordinate liens used in their entirety to acquire the subject property (regardless of seasoning)
- Any subordinate financing that was not used to purchase the subject property provided that for closed end seconds, the loan is at least one (1) year seasoned as determined by the time between the note date of the subordinate lien and the application date of the new mortgage

If the most recent first loan transaction on the property was a cash-out refinance within the last six (6) months, the new loan is not eligible as a rate/term and must proceed as a cash-out refinance. Note date to note date is used to calculate the six (6) month threshold.

On rate/term transactions, the borrower may only receive cash back in an amount that is the lesser of 2.0% of the new mortgage balance or $2,000.

3.5 CASH-OUT REFINANCE

A cash-out refinance is a refinance that does not meet the rate/term refinance definition. Cash-out would include a refinance where the borrower receives cash from the transaction or when a subordinate lien (that does not meet the rate/term seasoning requirements) is refinanced into the new transaction.

The loan amount for a cash-out refinance transaction may include any of the following:

- Existing first lien loan payoff
- Closing costs and prepaid items (interest, taxes, insurance) on the new loan
- The amount of any subordinate liens being paid off that do not meet seasoning requirements as described above
- The amount of any non-mortgage related debt paid off through closing

- Additional cash to the borrower reflected on the settlement statement

A signed letter from the borrower disclosing the purpose of the cash-out must be obtained on all cash-out transactions. The underwriter should ensure the purpose of the cash-out is also reflected on the loan application.

3.5.1. SEASONING

For all cash-out refinance transactions, a minimum of six (6) months must have elapsed since the most recent loan transaction on the subject property (either the original purchase transaction or subsequent refinance). Note date to note date is used to calculate the six (6) month threshold.

There is no waiting period if the borrower acquired the property through an inheritance or was legally awarded the property through divorce, separation, or dissolution of a domestic partnership. *(See Inherited Properties and Property Buyouts.)*

3.5.2. DELAYED FINANCING

Cash-out refinance transactions on properties purchased by the borrower with cash and owned less than six (6) months is allowed.

The following requirements apply:

- Original transaction was a bona fide arm's-length transaction
- Settlement statement from purchase confirms no financing was used to acquire subject property
- Source of funds used for purchase documented (gift funds may not be included)
- All other cash-out refinance eligibility requirements must be met

3.5.3. CASH-OUT LIMITS

See MoXi Matrices

3.6 FRACTIONAL OWNERSHIP

Fractional ownership is a form of real estate sharing. It is a shared ownership concept where each fractional buyer has a vested interest in the property, generally through an entity, and fractional owners share expenses related to the property. Fractional ownership is not the same as a timeshare because the borrower is making a financial investment in a specific property and is not simply purchasing rights to time of use.

MoXi will, on a case-by-case basis, consider lending on properties purchased by an entity (LLC, corporation, etc.) that intends to sell fractional ownership rights via a separate LLC or non-secured credit agreement.

Fractional ownership transactions are credit-qualified via corporate due diligence reviews on the parent entity. A persona fisica is required for Mexican legal purposes and to provide a credit score for the subject transaction, but such person shall not be required to be listed as a borrower on the loan, nor required to sign the loan documents as an individual.

3.6.1. GENERAL GUIDELINES

- MoXi will consider financing to the corporate entity owner of the property only
- MoXi will not finance the purchase of the fractional shares
- The deed to the property must convey in its entirety to the corporate entity owner and must not transfer, in any portion or designation, to the fractional owners
- MoXi must review and approve the fractional ownership documentation to ensure that there is no transfer of deed rights or other situations that could jeopardize MoXi's security interest in the property
- The corporate entity owner/borrower is fully responsible for all scheduled loan repayments and property expenses (including but not limited to hazard insurance, property taxes, HOA dues, fiduciary fees, etc.) regardless of how many fractions have sold or the payment performance of fractional owners
- US registered LLCs or corporations are only permitted; Mexican entities are not permitted as borrowers, guarantors, or vested parties
- Personal Guarantees are not required when financing in the name of the property company entity (generally an LLC); a corporate guarantee is required from the parent and/or holding company
- A member of the parent corporate entity must act as persona fisica (physical person) for the transaction for Mexican legal requirements, but is not required to be a borrower on the loan or required to sign loan documents
- MoXi's maximum exposure limits do not apply for fractional ownership corporate entities and/or guarantors.

3.6.2. CREDIT UNDERWRITING FOR FRACTIONAL TRANSACTIONS

- MoXi will obtain a credit report for the representative persona fisica for application processing
- Credit underwriting for fractional transactions is generally completed via corporate entity diligence
- The income/assets/debts of the persona fisica member are generally not considered in the underwriting process, as the persona fisica is not considered a borrower on the transaction
- Parent company and/or corporate guarantor income, assets, and obligations are used to calculate ability to repay and debt-to-income ratio, thus the income, assets and obligations of the persona fisica identified in the transaction shall generally not be included in the primary underwriting review and/or decisioning, but may be used as compensating factors, as needed
- The corporate entity's designee(s) will be solely responsible for signatures on all loan documents. The persona fisica may sign as a representative of such company.

3.7 FLIP TRANSACTIONS

When the subject property is being resold within 365 days of its acquisition by the seller and the sales price has increased more than 10%, the transaction is considered a "flip". To determine the 365-day period, the acquisition date (the day the seller became the owner, or beneficiary, of the property) and the purchase date (the day both parties executed the purchase agreement) should be used.

Flip transactions are subject to the following requirements:

- All transactions must be arm's length, with no identity of interest between the buyer and property seller or other parties participating in the sales transaction
- No pattern of previous flipping activity may exist in the last twelve (12) months. Exceptions to ownership transfers may include newly constructed properties, sales by government agencies, properties inherited or acquired through divorce, and sales by the holder of a defaulted loan
- The property was marketed openly and fairly, through a multiple listing service, auction, for sale by owner offering (documented) or developer marketing
- No assignments of the contract to another buyer
- If the property is being purchased for more than 5% above the appraised value, a signed letter of acknowledgement from the borrower must be obtained and for purposes of calculating the loan-to-value ratio, the lesser of purchase price and appraised value shall be used
- An additional appraisal product is required. See Appraisal Review Process Flip transactions must obtain a second appraisal in the following circumstances:
- Greater than 10% increase in sales price if seller acquired the property in the past 90 days
- Greater than 20% increase in sales price if seller acquired the property in the 180 days

3.8 NON-ARM'S LENGTH TRANSACTIONS

Non-arm's length transactions involve a direct relationship outside of the subject transaction between a borrower and a party to the loan. The appraiser must be informed of the relationship and address any impact on market value.

Examples of non-arm's length transactions include, but are not limited to, the following:

- Family member sales
- Buyer trading properties with the seller
- Property seller foreclosure bailouts
- Existing buyer relationship with loan officer, real estate agents, closing agent, appraiser, builder, or developer

Non-arm's length transactions are subject to all of the following requirements:

- Relationship must be fully disclosed
- Two (2) appraisals are required
- Borrower to provide a written explanation stating relationship to the seller and reason for purchase
- The underwriter must be satisfied that the transaction makes sense and that the borrower will occupy the property
- All liens on title to be paid in full and reflected on the settlement statement
- Lesser of sales price or current appraised value to be used to calculate the loan-to-value ratio
- Borrowers cannot provide services on transaction (closing agent, title agent, appraiser, etc.)

- Borrower may not be an owner of a business entity selling the subject property The following additional requirements apply only to family sales:
- Payment history for the seller's loan on the subject property must be obtained and show no pattern of delinquency within the past 12 months (if applicable)
- Verification that the borrower has not been on title to the property in the past 24 months
- Gift of equity is permitted

3.9 INHERITED PROPERTIES

Inherited properties are allowed as both rate/term and cash-out transactions. If the subject property was inherited less than twelve (12) months prior to application, the transaction is considered a cash-out and subject to the following:

- Subject property has cleared probate and property is vested in the borrower's name
- Current appraised value is used to determine loan-to-value

3.10 [RESERVED]

3.11 [RESERVED]

3.12 PERMANENT FINANCING FOR NEW CONSTRUCTION

- MoXi does not provide financing on new construction until such time that the lender can diligence, appraise, and attach a clear lien position to habitable, deeded, residential collateral.

4. BORROWERS

A borrower is a credit applicant who will have ownership, or beneficiary, interest in the subject property, sign the promissory note and/or loan agreement. If two or more individuals own the property jointly, and are jointly and severally liable for the promissory note, all are considered to be borrowers.

4.1 CUSTOMER IDENTIFICATION PROGRAM (CIP)

The USA Patriot Act requires banks and financial institutions to verify the name, date of birth, address and identification number of all borrowers. Underwriters are to follow the published CIP procedures for each seller to ensure the true identity of all borrowers has been documented.

Under Mexico Law CIP requires color copies of a legally documented US valid passport, duly stamped and authorized certificate of birth or adoption notification, valid US driver's license or a valid government, city or state issued identification card and a detailed "Know Your Client" ("KYC") form.

4.2 FRAUD REPORT AND BACKGROUND CHECK

All loans will include a third-party fraud detection report for all borrowers, borrowing entities and/or guarantors. Report findings must cover standard areas of quality control including, but not limited to: borrower validation, social security number verification, criminal records, and property information (subject property and other real estate owned). All high-level alerts on the report must be addressed by the underwriter.

Under Mexico law a fraud detection report will be completed for all entities named on any loan for any purpose. This check as required by Mexico law will consist of a "Black List" certification including but not limited to the appropriately required AML (Anti Money Laundering) checks.

4.3 CITIZENSHIP

US Citizens and US Permanent Resident Aliens are eligible for financing.

4.3.1. US CITIZENS BORN IN MEXICO

US Citizens born in Mexico are considered Mexican Nationals by the Mexican government, as commonly indicated by borrower presentation of a US Passport that shows birthplace is Mexico. The Mexican birthplace presents unique challenges with respect to collateral transfer and lien protection, despite the presence of US Citizenship. This is especially the case when the subject property is in a restricted zone (100KM of a border, 50KM of a coastline). This is less of a concern when the property is outside of a restricted zone, for example in San Miguel de Allende.

A loan with a borrower or borrowers born in Mexico may be considered on a *case-by-case* basis under certain conditions:

- MoXi requires a guaranty trust fideicomiso "Fideicomiso de Garantia" for all transactions, both in and out of restricted zones, without exception and regardless of borrower(s) birthplace location.
- A Fideicomiso de Garantia is, by definition, a structure for foreigners. Mexico law generally considers MX born people, regardless of other/additional Citizenships maintained, to be Mexican (non-foreigners).
- MoXi credit policy requires that all borrowers be US Citizens or US permanent residents, file US federal taxes (2 years returns required) and have a valid US credit score from all 3 bureaus.
- Policy requires that all borrowers must also be on title and all parties on title must be borrowers on the mortgage.
- When a prospective borrower meets the above requirements and identity documentation indicates that any borrower(s) are Mexican born, additional steps may be taken:
    - If at least one borrower is a foreigner (not Mexican born) in the eyes of Mexican Law, that borrower's name should always appear first on the loan application and application for Foreign Affairs permit. In this example, all vesting types are permitted generally.
    - If all borrower(s) are MX born, vesting may be taken in a US LLC, US corporation, or US revocable living trust and all entity documents must meet all MoXi policy requirements

including, but not limited to: notarization and apostille on organization documents in the US and certified translation of such documents in MX.
    - MoXi does not assist with or advise on the formation of the US LLC, Corporation, or US revocable living trust.
    - Creation of an entity for this specific purpose is allowable.
- The fiduciary must approve the presence of Mexican-born borrowers in the transaction.
- If applicable, the SRE Permit application must be submitted and issued in the name of the LLC, corporation, or trust and all members/managers, trustees, or corporate officers must be eligible borrowers on the loan
- After closing, MoXi does not typically require borrowers to make notification to the lender of any entity document changes (removing or adding a trustee, member/manager, or corporate officer).
- Specific deed language and beneficiary requirements may be required by and must be approved by the fiduciary.
- Additional conditions may be added by the fiduciary or the Secretary of Foreign Affairs and must be satisfied prior to full loan approval.
- MoXi does not guarantee approval by the fiduciary or the Secretary of Foreign Affairs, and clients are advised that additional fees could apply should a permit application be rejected/declined.

4.4 PERMANENT RESIDENT ALIENS

For purposes of these guidelines, a permanent resident alien is a non-Mexican and non-US citizen authorized to live and work in the US on a permanent basis.

US Permanent Resident Aliens are eligible for financing. Eligible borrowers must have:

- A valid US Social Security Number or IRS Taxpayer Identification Number
- Two years of filed US tax returns
- Established US credit with FICO scores.

MoXi must be able to obtain a US credit report with the borrower's reported information and borrowers must meet all other underwriting guidelines for the requested program.

Conditioned upon the other underwriting criteria set forth herein, acceptable evidence of lawful permanent residency must be documented and meet one of the following criteria:

- I-151 – Permanent Resident Card (Green Card) that does not have an expiration date
- I-551 – Permanent Resident Card (Green Card) issued for 10 years that has not expired
- Un-expired Foreign Passport with an un-expired stamp reading as follows: "Processed for I-551 Temporary Evidence of Lawful Admission for Permanent Residence. Valid until mm-dd-yy. Employment Authorized."

The following are not acceptable forms of documentation for resident aliens:

- I-551 – Conditional Permanent Resident Card (Green Card) issued for 2 years that has an expiration date, unless it is accompanied by a copy of USCIS form I-751 requesting removal of the conditions

4.5 [RESERVED]

4.6 FOREIGN NATIONALS

A foreign national is a non-US citizen authorized to live in the US on a temporary basis. Foreign national borrowers are not eligible.

4.7 EXCLUSIONARY LIST/OFAC/DIPLOMATIC IMMUNITY

All parties involved on each transaction must be screened through any exclusionary list as required and provided by the Government of Mexico. MoXi will apply its exclusionary list policy to all loans originated under these guidelines.

Parties to the transaction must also be cleared through OFAC's SDN List (borrowers, property sellers, employers, banks, etc.). A search of the Specially Designated Nationals and Blocked Persons List may be completed via the U.S. Department of the Treasury website: https://sanctionssearch.ofac.treas.gov/

Individuals with diplomatic immunity are not eligible due to the inability to compel payment or seek judgment. Verification the borrower does not have diplomatic immunity can be determined by reviewing the visa, passport, and/or the U.S. Department of State's Diplomatic List at http://www.state.gov/s/cpr/rls

4.8 CO-BORROWERS

Co-borrower is often used to describe any borrower other than the first borrower whose name appears on the note. All borrowers are evaluated on their ability to meet credit requirements, and underwriting and eligibility standards. All co-borrowers must occupy the subject property and be party to the loan agreement. Co-borrowers may not be an interested party to the transaction. Possible examples include, but are not limited to, property seller, builder, realtor, appraiser (a buyer who also acts as their own buying agent is generally permitted.)

4.9 NON-OCCUPANT CO-BORROWERS/CO-SIGNERS/GUARANTORS

Not allowed.

4.10 FIRST-TIME HOME BUYERS

A first-time home buyer is defined as a borrower who had no ownership interest in a residential property in the US during the preceding 3-year period.

The following requirements apply to first-time home buyer transactions:

- Primary residence and second homes only

- Minimum 700 score
- 12 months reserves after closing

If a borrower has not owned a property in the last 3 years but can document ownership in the preceding 5-year period, the above criteria are waived.

4.11 LIMITED POWER OF ATTORNEY

A limited power of attorney ("POA") is acceptable when following requirements are met:

- POA is specific to the transaction
- Recorded with the Loan Agreement/Fideicomiso
- Contains an expiration date

4.12 VESTING AND OWNERSHIP

Ownership must be fee simple. Acceptable forms of vesting are:

- Individuals
- Joint tenants
- Tenants in Common
- Inter Vivos Revocable Trust also known as "Revocable Living Trust"
- Limited Liability Company ("LLC")
- Limited and General Partnerships
- Corporations

4.12.1. INTER VIVOS REVOCABLE TRUST

Inter Vivos Revocable Trusts are allowed when the requirements outlined below are met.

The trust must be established by one or more natural persons, solely or jointly. The primary beneficiary of the trust must be the individual(s) who establishing the trust. The trust must become effective during the lifetime of the person establishing the trust.

If the trust is established jointly, there may be more than one primary beneficiary as long as the income or assets of at least one of the individuals establishing the trust will be used to qualify for the mortgage.

The trustee must include either:

- The individual establishing the trust (or at least one of the individuals, if 2 or more); or
- An institutional trustee that customarily performs trust functions in and is authorized to act as trustee under the laws of the applicable state.

The trustee must have the power to enter into the loan agreement, execute the promissory note and be the beneficiary pursuant the Mexican fideicomiso. This must be specified or implied in the trust documents.

One or more of the parties establishing the trust must use personal income or assets to qualify for the mortgage.

A copy of the trust is required, or a signed attorney's opinion may be obtained in lieu of the trust documents. The opinion letter must indicate that the trust meets all published requirements and must also include the following:

- name of the trust
- date executed
- settler(s) of the trust
- whether it is revocable or irrevocable
- whether the trust has multiple trustees
- name of trustees
- manner in which vesting will be held

The attorney needs to also verify that the trust has not been revoked, modified, or amended in any manner that would cause the representations to be incorrect.

4.12.2. LIMITED LIABILITY COMPANY (LLC)

Vesting in the name of an LLC is acceptable. The following standards apply:

- Purpose of the LLC is for the ownership and management of real estate
- All members or member-managers of the LLC are borrowers on the transaction.
- Number of owners is not limited but all must be on the transaction.
- Loan must be disclosed to all borrowers

The following LLC documentation must be provided:

- Articles of Incorporation
- Operating Agreement
- Tax Identification Number
- Certificate of Good Standing

4.12.3. VESTING IN THE NAME OF A BUSINESS ENTITY

To vest a loan in an entity, the following requirements must be met:

- Business purpose and activities are limited to ownership and management of real estate
- Business entity is limited to a maximum of 4 "owners" (owners are members, partners, or shareholders, as the case may be)
- All entity owners must provide a personal guaranty for the loan
- Each entity owner must complete a 1003 application. The loan application, credit report, income and assets for each owner will be used to determine qualification and pricing
- Each entity owner must receive notice of the loan and its terms prior to closing

The following Entity documentation must be provided:

- Entity Articles of Organization, Partnership, and Operating Agreements (if applicable)
- Tax Identification Number
- Certificate of Good Standing
- Certificate of Authorization for the person executing all documents on behalf of the entity

No broker shall suggest or encourage the formation of an entity for the purpose of obtaining a loan. Such structures shall be initiated and arranged by the owners of the entity.

Documents must be completed and signed as follows:

- Business Purpose and Occupancy Affidavit – required at loan submission and closing and signed by each owner:
  - Full Documentation
  - Loan Application (1003)
  - Completed and signed by each owner
- 1003 section labeled "Title will be held in what Name(s)" should be completed with only the entity name
- Disclosures must be completed and signed by each owner
- Guaranty - completed and signed by each owner (or 'Guarantor')
- Other Closing Documents must be completed by the authorized owners(s) of the entity that can legally sign and bind entity

4.13 MULTIPLE FINANCED PROPERTIES AND MOXI EXPOSURE

There is no limit on the number of other properties borrowers may currently have financed. When the transaction is for a 2nd home or investment property, two (2) months of additional reserves for each financed property is required.

MoXi exposure may not exceed $5.0 million aggregate with a maximum of five (5) loans for each individual borrower. Exceptions to this policy will be reviewed on a case-by-case basis by MoXi's Credit Committee.

4.14 INELIGIBLE BORROWERS

The following borrowers are not eligible:

- Borrowers with diplomatic immunity or otherwise excluded from US jurisdiction
- Borrowers that have any AML findings on the Mexico Fraud Detection requirements
- Irrevocable Trusts or Land Trusts
- Borrowers less than 21 years old
- Loans to employees of MoXi or any of its affiliates, or any broker partners

5. CREDIT ANALYSIS

5.1 EQUAL CREDIT OPPORTUNITY ACT & FAIR HOUSING ACT

MoXi is not subject to certain US-based lending and consumer laws, however, the Company elects to implement policies and procedures intended to prevent discriminatory lending practices.

The Federal Equal Credit Opportunity Act prohibits lenders from discriminating against credit borrowers on the basis of race, color, religion, nationality or ethnic origin (provided however, borrowers under MoXi loan program(s) must be US citizens or in certain circumstances US permanent residents), sex, marital or familial status, age (provided the borrower has the capacity to enter into a binding contract), disability, because all or part of the borrower's income is derived from a public assistance program or because the borrower has, in good faith, exercised any rights under the Consumer Credit Protection Act. Other US laws may also prohibit discrimination on certain additional basis such as sexual orientation.

Similarly, the Fair Housing Act prohibits lenders from discriminating against mortgage borrowers on the basis of race, color, religion, sex, familial status, national origin, or disability.

MoXi expects its employees and brokers to adhere to the spirit of fair lending guidelines.

5.2 CREDIT REPORT

A credit report is required for every borrower, guarantor, and any majority member of a borrowing entity. The credit report should provide merged credit information from the three (3) major national credit repositories. A valid Social Security number ("SSN") is required for all borrowers on the loan.

Either a three (3) bureau merged report or a residential mortgage credit report ("RMCR") is required. The credit report should include verification of all credit references provided on the loan application and must certify the results of public record searches for each city where the individual has resided in the last two (2) years.

5.2.1. AGE OF CREDIT REPORT/CREDIT DOCUMENTATION

All credit documentation, including the credit report, may not be more than 120 days (about 4 months) old at the time of closing. When credit report age is >90 days but <120 days, a refresh dated within 10 business days of the note date shall be ordered. Credit bureau refresh products update inquiries and accounts, not scores, and so unexpired scores will be used to calculate loan pricing and/or maximum allowable LTV. To the extent that a refresh shows material deterioration since original underwrite, underwriter shall request additional documentation and may, at their discretion, request a new report/score.

5.2.2. FRAUD ALERTS

The three (3) national credit repositories have developed automated messaging to help identify possible fraudulent activity on a credit report. Examples of fraud alerts include:

- Initial 90-day Fraud Alert

- Extended Fraud Alert
- Active-Duty Alert
- HAWK Alert

All Fraud Alerts must be properly addressed and resolved prior to submitting the loan to underwriting. The actions must be reasonable and compliant with applicable laws. An underwriting decision cannot be made without full resolution of the alert.

5.2.3. CREDIT REPORT SECURITY FREEZE

The credit report used to evaluate a loan may not reflect a security freeze and must be resolved prior to an underwriting decision. If a borrower unfreezes his or her credit after the date the original credit report was ordered, a new three (3) bureau merged report must be obtained to reflect current and updated information from all repositories.

5.2.4. INQUIRIES

A signed letter of explanation from the borrower or creditor is required for all inquiries within the most recent 90 days to determine whether additional credit was granted as a result of the borrower's request.

5.2.5. UPDATED PAYMENT HISTORIES

Payment histories may be requested directly from a creditor when the credit report indicates delinquencies have been removed or when the majority of credit is from a non-institutional lender.

5.2.6. GAP CREDIT REPORT

Gap credit reports and/or credit report updates are required when:

- There is an approved exception for credit-related circumstances
- Any borrower's credit score is <700

Underwriters may use discretion to require a gap credit report as needed under any other circumstances.

5.3 CREDIT SCORE REQUIREMENTS

The primary wage-earner score is used as the representative credit score for each loan. The primary wage-earner must have a valid score from at least two (2) of the following three (3) agencies: Experian (FICO), Trans Union (Empirica), and Equifax (Beacon). Only scores from these agencies are acceptable. Additional borrowers on the loan must have at least one valid score of 680 or greater.

To determine the representative credit score for the primary wage-earner, select the middle score when three (3) agency scores are provided and the lower score when only two (2) agency scores are provided.

5.4 TRADE LINE REQUIREMENTS

MINIMUM TRADE LINES			
Trade Lines	Occupancy	Tradeline History	Minimum Standards
Standard Trade Lines	Primary 2nd Homes	3 trade lines for 12+ months with activity in last 12 months --- or --- 2 trade lines for 24+ months with activity in the last 12 months	0x60 for most recent 12 months
*Limited Trade Lines	Primary 2nd Homes	Does not meet minimum trade line requirements	N/A

To qualify as a valid trade line, the following requirements apply:

- The credit line must be reflected on the borrower's credit report
- The account must have activity in the past twelve (12) months and may be open or closed
- Trade lines used to qualify may not exceed 0x60 in the most recent twelve (12) months
- An acceptable 12- or 24-month housing history not reporting on credit may also be used as a trade line

Only the primary wage-earner must meet the minimum trade line requirements listed above.

Credit lines on which the borrower is not obligated to make payments are not acceptable for establishing a minimum history. Examples of unacceptable trade lines include loans in a deferment period, collection or charge off accounts, accounts discharged through bankruptcy, and authorized user accounts. Student loans can be counted as trade lines as long as they are in repayment and are not deferred.

5.4.1. STANDARD TRADE LINES

Borrowers qualifying with standard trade lines are eligible for all occupancy types and programs.

5.4.2. LIMITED TRADE LINES

The following requirements apply when qualifying with limited trade lines:

- Primary residence and second homes only
- Minimum 12 months reserves after closing
- Full documentation of income (bank statement documentation not allowed)
- Loan level LTV adjustment of 10%

5.4.3. INSUFFICIENT TRADELINES/NON-TRADITIONAL CREDIT

Non-traditional credit is not allowed. Each borrower must have a valid and usable score.

If the borrower does not meet the requirements for standard trade lines but still has a valid credit score, he or she may qualify under limited trade lines.

5.5 MORTGAGE AND RENTAL PAYMENT VERIFICATION

Mortgage and rental payments not reflected on the original credit report must be documented via an institutional Verification of Rent or Verification of Mortgage (VOR/VOM). A combined total of all late mortgage and rental payments in the past twelve (12) months must be used to determine the housing history.

If the borrower is making payments to an individual or interested party, twelve (12) months of cancelled checks or bank statements must be obtained. A VOR/VOM is not required but may be requested for clarification.

All mortgages and rental payments should be current at time of closing. If the credit report or VOR/VOM reflects a past-due status, updated documentation is required to verify account is current.

5.5.1. NO HOUSING HISTORY OR LESS THAN 12 MONTHS VERIFIED

Borrowers who do not have a complete twelve (12) month housing history are subject to the following restrictions:

- Primary residence and second homes only
- Minimum 6 months reserves after closing
- Payment Shock is not considered
- VOR/VOM must be obtained for all months available reflecting paid as agreed
- Full documentation of income (Bank Statement Documentation not allowed)
- Properties owned free and clear are considered 0x30 for grading purposes

5.5.2. MORTGAGE MODIFICATION

A mortgage modification resulting in any of the attributes listed below is subject to Housing Event seasoning guidelines set forth herein:

- Forgiveness or forbearance of a portion of principal and/or interest on any loan or mortgage
- Conversion of any portion of the original mortgage debt to a “soft” subordinate mortgage
- Conversion of any portion of the original mortgage debt from secured to unsecured

5.6 ROLLING LATE PAYMENTS

Rolling late payments are not considered a single event. Each occurrence of a contractual delinquency is considered individually for loan eligibility.

5.7 PAST DUE ACCOUNTS

Past due consumer debts can be no more than 30 days past due at time of closing.

5.8 WRITTEN EXPLANATIONS FOR DEROGATORY CREDIT

Recent housing events and bankruptcies in the most recent five (5) years must be explained by the borrower with a signed letter of explanation. Housing and consumer delinquencies greater than 60 days in the last 12 months also require written explanation. Supporting documentation may be required at underwriter discretion.

5.9 DELINQUENT CREDIT BELONGING TO EX-SPOUSE

Delinquent credit belonging to an ex-spouse can be excluded from the credit evaluation when all the following apply:

- Borrower provides a copy of the divorce decree or separation agreement which shows the derogatory accounts belong solely to the ex-spouse
- Late payments occurred after the date of the divorce or separation
- Evidence of title transfer prior to any delinquent debt must be provided if debt is a mortgage, and evidence of "buyout" as part of court proceedings

Collection accounts assigned to an ex-spouse may be excluded from aggregate collection totals with a divorce decree or separation agreement assigning the account solely to the ex-spouse. *(See Contingent Liabilities.)*

5.10 LAWSUIT/PENDING LITIGATION

If the application, title, or credit documents reveal that the borrower is presently involved in a lawsuit or pending litigation, a statement from the borrower's attorney is required. The statement must explain the circumstances of the lawsuit or litigation and discuss the borrower's liability and insurance coverage. A copy of the complaint and answer may also be needed. The title company closing the loan must be informed of the lawsuit or litigation and provide affirmative coverage.

5.11 CONSUMER CREDIT COUNSELING SERVICE ("CCCS")

Under MoXi Program Guidelines any borrower enrolled in CCCS is ineligible for any MoXi Loan Programs

5.12 COLLECTIONS AND CHARGE-OFFS

The following accounts may remain open:

- Collections and charge-offs less than 24 months old with a maximum cumulative balance of $2,000
- Collections and charge-offs greater than 24 months old with a maximum of $2,500 per occurrence

- Collections and charge-offs that have passed beyond the statute of limitation for that state (supporting documentation required)
- All medical collections

Collection and charge-off balances exceeding the amounts listed above must be paid in full prior to closing.

5.13 JUDGMENTS AND TAX LIENS

Judgments and tax liens must be paid off prior to or at closing, unless the requirements listed below are met. Adverse credit that could impact title must be paid in full as title must insure MoXi's lien position without exception.

Court-ordered judgments may remain open when all of the following requirements are met:

- A copy of the repayment agreement is obtained;
- A minimum of three (3) months has elapsed on the plan and evidence of timely payments for the most recent three (3) months is provided; and
- The maximum payment required under the plan is included in the debt-to-income ratio.

Outstanding tax liens may remain open on purchase transactions only (additional LTV reductions may be required based on the size of the lien). All of the following requirements must be met:

- A copy of the repayment agreement is obtained;
- A minimum of 3 months has elapsed on the plan and evidence of timely payments for the most recent 3 months is provided;
- The maximum payment required under the plan is included in the debt-to-income ratio; and
- The title company must provide written confirmation confirming (a) the title company is aware of the outstanding tax lien, and (b) there is no impact to first lien position.

5.14 BANKRUPTCY

All bankruptcies must be discharged or dismissed for a minimum of 60 months from closing date.

5.15 HOUSING EVENTS

A housing event is any one of the following events listed below. If the housing event occurred within 24 months of closing, it is considered a <u>recent</u> housing event:

- Foreclosure
- Deed-in-Lieu
- Short Sale
- Modification
- 1x120

Seasoning of a foreclosure, deed-in-lieu, or short sale is measured from the date of completed sale or final property transfer. The housing event must be completed prior to loan closing with no outstanding deficiency balance remaining.

For a 120-day mortgage late, seasoning is from the date the mortgage was brought current.Seasoning for a modification is from the date the modification was executed.

If the property was surrendered in a Chapter 7 bankruptcy, the bankruptcy discharge date is used for seasoning. Bankruptcy papers may be required to show the property was surrendered. The foreclosure action is not required to be fully complete.

Housing events must be seasoned for a minimum of 24 months from closing date.

6. LIABILITIES

6.1 INSTALLMENT DEBT

Installment debt is a monthly obligation with fixed payments and terms. Payments on installment loans

must be included in the borrower's debt-to-income ratio.

Payments can be excluded if there are 10 or fewer monthly payments remaining to pay the debt in full. If the payment is substantial and exceeds 5% of the borrower's qualifying income, the underwriter should review the overall transaction to ensure the remaining payments will not impact the borrower's ability to pay the new mortgage payment.

Installment debt paid in full prior to closing can be excluded from the debt-to-income ratio. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full.

6.2 REVOLVING DEBT

Revolving debt is open-ended debt in which the principal balance may vary from month to month. The minimum required payment as stated on the credit report or current account statement should be used to calculate the debt-to-income ratio. If no payment is stated on the credit report, the greater of $10 or 5% of the current balance should be included in the debt-to-income ratio calculation.

Revolving accounts are allowed to be paid off prior to or at closing in order to exclude the payment from the debt ratio. Supporting documentation, such as a credit supplement or direct verification from the creditor, must be obtained as evidence the debt has been paid in full. *(See Asset Documentation for sourcing and seasoning requirements.)*

HELOC (home equity line of credit): when a borrower intends to use a HELOC on another property for purposes of down payment on the subject property, the payment must be included in the debt-to-income ratio even if the line has no balance at the time of underwriting. If the terms of the HELOC are unknown, the monthly payment on the HELOC must be counted at 1% of the full line amount. If the terms are known, the payment should be calculated according to the repayment terms in the HELOC note.

6.3 AUTHORIZED USER ACCOUNTS

The major difference between an authorized user and a joint account holder is the person who has the legal obligation to pay the amounts drawn on a revolving credit account. An authorized user has no legal obligation to repay the debt. Though late payments will affect the authorized user's credit history as long as they are on the account, the issuer cannot pursue that person for payment.

Authorized user accounts should not be considered in the borrower's debt-to-income ratio.

6.4 BUSINESS DEBT

A business debt is a financial obligation of a business and can be the sole responsibility of the business or be personally secured by the business owner, making that person also liable for the debt. If the debt is reflected on the borrower's personal credit report, the borrower is personally liable for the debt and it must be included in the debt-to-income ratio.

Debts paid by the borrower's business can be excluded from the debt-to-income ratio with any of the following supporting documentation:

- Most recent six (6) months canceled checks drawn against the business account; or
- Tax returns reflect the business expense deduction; or
- Business bank account statement showing assets remain after funds to close and reserve requirements are with a balance greater than or equal to the balance of the debt.

If the debt is less than six (6) months old, the payment must be included in the debt-to-income ratio.

6.5 CHILD SUPPORT, ALIMONY OR MAINTENANCE OBLIGATIONS

Monthly alimony, child support or separate maintenance fees should be current at time of application and must be included in the borrower's debt-to-income ratio. File should contain supporting documentation as evidence of the obligation, such as a final divorce decree, property settlement agreement, signed legal separation agreement, or court order. If payments are past due, the arrearages must be brought current prior to loan closing.

If ten (10) or fewer payments remain, *see Installment Debt* to determine if the obligation may be excluded from the debt-to-income calculation.

6.6 CONTINGENT LIABILITIES

An individual has a contingent liability when an outstanding debt has been assigned to another party and the creditor does not release the borrower from liability. Contingent liabilities can be excluded from the debt-to-income ratio under any of the following scenarios:

- <u>Property resulting from buyout of former co-owner (i.e. divorce)</u>: file must include the court order and evidence of transfer of ownership

- Mortgage assumption by third party: file must include the formal assumption agreement and evidence of transfer of ownership
- Court ordered assignment of debts: file must include a copy of the court order assigning the debt to another party

The underwriter is not required to evaluate the payment history for the assigned debt after the effective date of the assignment.

6.7 DEBTS PAID BY OTHERS

If the underwriter obtains documentation that a non-mortgage debt has been satisfactorily paid by another party for the past twelve (12) months, then the debt can be excluded from the debt-to-income ratio. This policy applies regardless of whether the other party is obligated on the debt. The other party may not be an interested party to the transaction.

If the borrower is obligated on a mortgage that is paid by another party, the full PITIA payment may be excluded if:

- the party making the payments is obligated on the mortgage debt,
- there are no delinquencies in the most recent 12 months, and
- the borrower is not using rental income from the applicable property to qualify.

12 months most recent bank statements or cancelled checks, plus a copy of the current mortgage statement, must be provided to document a 12 month payment history with no delinquencies.

6.8 HOUSING PAYMENTS

The monthly mortgage payment ("PITIA") used for qualification consists of the following:

- Principal and Interest
- Hazard and flood and insurance premiums
- Real Estate Taxes
- Special Assessments
- Association Dues
- Trustee Fees
- Any subordinate financing payments on mortgages secured by the subject property

6.9 LEASE OBLIGATIONS

Lease obligations must be included in the debt-to-income ratio calculation, regardless of time remainingon the lease.

6.10 MATERIAL RECURRING NON-DEBT OBLIGATIONS

Neither MoXi nor its brokers are permitted to make inquiries or verifications prohibited by Regulation B in the US, or anything that would be discriminatory on the basis of age, gender, ethnicity, nationality or marital status.

A recurring non-debt obligation is defined as medical expenses for the borrower or a dependent of the borrower that are expected to continue for greater than one year.

If the borrower informs the broker of a recurring non-debt obligation, the loan file must be noted. If the

broker believes it could be material to the borrower's ability to repay the loan, escalation is required.

Documentation of material recurring non-debt obligations should be done consistent with MoXi's ability to repay policies.

6.11 OPEN 30-DAY CHARGE ACCOUNTS

For open 30-day charge accounts that do not reflect a monthly payment on the credit report, or 30-day accounts that reflect a monthly payment that is identical to the account balance, 5% of the outstanding balance will be considered to be the required monthly payment.

Open-end accounts do not have to be included in the monthly debt payment if the borrower has sufficient funds to pay off the outstanding account balance. The funds must be verified in addition to any funds required for closing and reserves.

If the borrower paid off the account balance prior to closing, the broker may provide proof of payoff in lieu of verifying funds to cover the account balance.

6.12 RETIREMENT/SAVINGS PLAN LOANS

Repayment for loans against a financial asset (e.g. retirement/savings plan, insurance policy) can be excluded from the total debt-to-income ratio provided the debt can be repaid by liquidating the asset. Value of the asset must be reduced by the amount of the debt when calculating funds to close and reserves.

6.13 STUDENT LOANS

Student loan obligations must be included in the debt-to-income ratio calculation, whether they are deferred or in repayment. If no payment is shown on the credit report, then the payment should be provided by the student loan lender. If a payment is unable to be determined, **1.0%** of the current loan balance may be used.

6.14 TIMESHARES

Timeshare properties are not eligible under MoXi's Loan Programs. In the case of a dissolution of a timeshare property, evidence of settlement must be received from the timeshare owner and/or management entity representing such sale. Full documentation of dissolution of timeshare must be received prior to final closing and funding.

6.15 UNDISCLOSED DEBTS

If asset statements provided reflect payments made on obligations not listed on the credit report or 1003, additional information must be obtained to determine if the liability should be included in the borrower's debt-to-income ratio.

If the obligation does not belong to the borrower, supporting documentation is required. If there is a non-borrower also on the account, a signed letter of explanation from the borrower is sufficient. If the borrower is the obligor on the debt, an account statement and pay history should be obtained to review the account for acceptability. The payment must be included in the debt ratio for credit underwriting.

7. DOCUMENTATION

7.1 AGE OF LOAN DOCUMENTATION

Unless otherwise noted, all loan documentation must be dated within 180 days of closing, including but not limited to, the borrower's credit report and property appraisal or appraisal re-certification, unless more restrictive requirements are set forth herein.

7.2 EMPLOYMENT/INCOME DOCUMENTATION

Documentation of income is allowed using full documentation, bank statement documentation, and 1-year alternative income documentation.

7.2.1. IRS 4506-T

IRS Form 4506-T must be completed and signed by all borrowers both at application and closing. The form must request the appropriate documentation type (e.g. W-2s, full tax transcripts, etc...) and be executed prior to closing. 4506-T forms and transcripts are not required for business tax returns or loans utilizing bank statement documentation for income.

Documentation received from executing the 4506-T must be reviewed and compared to the qualifying income to confirm consistency. Results from processing the 4506-T should generally be equal to or greater than the income used to qualify the loan. Any inconsistencies between the 4506-T results and qualifying income should be addressed by the underwriter.

7.2.2. PAY STUBS AND W-2 STATEMENTS

Pay stubs and W-2s must be typed or computer generated. They should provide the borrower's full name, address, employer name, year-to-date earnings, and rate of pay.

If pay stubs reflects garnishments (child support, IRS, etc.) or any loan deductions, additional information will be required to determine if a monthly payment should be included in the debt-to-income ratio calculation.

W-2s should reflect a nine-digit employer identification number ("EIN"). Also, Social Security and Medicare withholding should be calculated at the appropriate rates on the W-2s and pay stubs.

7.2.3. FEDERAL INCOME TAX RETURNS

For some types of income, federal income tax returns (personal and/or business) are required. *(See Self-Employed Income for detailed requirements.)*

7.2.4. WRITTEN VERIFICATION OF EMPLOYMENT (WVOE)

Income and employment for wage-earners or salaried borrowers may be obtained through direct written verification from the borrower's employer (e.g. FNMA Form 1005). The verification should be signed by a member of the company's human resource department or one of the business owners or officers. At a minimum, the verification must include the borrower's name, position, dates of employment, and base salary.

7.2.5. VERBAL VERIFICATION OF EMPLOYMENT (VVOE)

Verbal verifications of employment must be obtained for each borrower using employment income to qualify. VVOEs must meet all of the following criteria:

- Completed within ten (10) calendar days of closing
- Confirm that the borrower is employed at time of verification
- Include the name and phone number of person processing the VVOE
- Include the name, position and phone number of the person providing the verification (employer)
- Telephone number for the borrower's employer must be verified independently through any of the following: telephone book, the internet, directory assistance, or by contacting the applicable licensing bureau

For self-employed borrowers, the existence of the business must be independently verified through a disinterested third-party within ten (10) calendar days of closing. The loan file should reflect the documentation secured from these sources. Sources may include:

- CPA, regulatory agency, or applicable licensing bureau; or
- Verification of a phone and address listing using the internet.

7.3 ASSET DOCUMENTATION

Assets to be used for down payment, closing costs, debt payoff, and reserves must be seasoned for 60 days or sourced. Assets must be verified with one of the following:

- Most recent two (2) months' account statements, or most recent quarterly account statement,

indicating opening and closing balances, and reflecting a consecutive 60 days of asset verification
  - Supporting documentation should be obtained for single, unexplained deposits that exceed 50% of the borrower's gross monthly qualifying income for the loan.
  - Documentation of large deposits is not required on refinance transactions.
- If account summary page provides the required information, additional pages are not required.
- Written Verification of Deposit ("VOD"), completed by the financial institution - must include the current and average balances for the most recent two (2) months
  - Large disparities between the current balance and the opening balances will require additional verification or supporting documentation
- Account statements must provide all of the following information:
  - Borrower as the account holder
  - Account number
  - Statement date and time period covered
  - Current balance in US dollars
  - If the statements are in the form of an online history printout, the source web address must be visible on the printouts

8. EMPLOYMENT/INCOME ANALYSIS

8.1 FULL DOCUMENTATION

8.1.1. WAGE-EARNERS

Income derived from a consistent hourly, weekly or monthly wage, must be verified by all of the following:

- W-2s for the most recent 2 years; and
- Pay stub(s) covering the most recent 30-day period providing year-to-date earnings; and
- Signed and executed 4506-T (W-2 transcripts only); and
- Verbal Verification of Employment (VVOE) completed within 10 days of closing.

8.1.2. SELF-EMPLOYED BORROWERS

See Self-Employed Income for detailed documentation requirements.

8.2 ALTERNATIVE INCOME DOCUMENTATION

Alternative income documentation is available.LTV/Credit score/program restrictions:

- Minimum FICO 740
- 5% reduction to maximum allowable LTV for this documentation type
- No subordinate financing
- No gift funds
- No First Time Homebuyer

In lieu of the standard 2-year documentation requirement for wage-earners and self-employed borrowers, the following will be accepted:

- Wage-Earners: the most recent year W-2 and pay stub(s) covering the most recent 30-day period providing year-to-date earnings
- Self-Employed Full Doc: the most recent year filed federal income tax returns (personal and business; extensions are not allowed) and year-to-date profit and loss statements ("P&L") if end of applicable tax year is greater than 120 days from closing
- Self-Employed Bank Statements: 12 months complete personal bank statements from the same account

Bonus, overtime, and/or commission income for wage-earners may also be documented for 1-year. A full written VOE must be obtained and must state that the bonus, overtime, and/or commission income is likely to continue.

Supplemental income is not eligible for alternative documentation (i.e. rental income, dividend/interest income, capital gains, alimony, child support, pension or retirement).

DTI may not exceed levels set forth in MoXi's Matrices.

See the following sections for complete documentation requirements:

- *Wage-Earners*
- *Self-Employed Income*
- *Personal Bank Statements*

8.3 BANK STATEMENT DOCUMENTATION

Self-employed borrowers are eligible for either personal bank statement documentation or business bank statement documentation. The following restrictions apply to both documentation types:

- Borrowers must be self-employed for at least 2 years.
- Business must be in existence for at least 2 years.
- Standard trade lines and a 12-month housing history are required.
- Non-permanent resident aliens and foreign nationals are ineligible.
- All parties listed on each bank account must be included as borrowers on the loan.
- A combination of business and personal bank statements is prohibited.
- Statements must be consecutive and reflect the most recent months available.
- Statements must support stable and generally predictable deposits. Unusual deposits must be documented.
- Evidence of a decline in earnings may result in disqualification.
- Up to 3 check overdrafts and/or overdraft protection transfers in the most recent 12-month period are allowed with explanation from the borrower.
- If bank statements provided reflect payments being made on obligations not listed on the credit report, *see Undisclosed Debts for additional guidance*.

- W-2 Wages: Additional income deposited into the bank statements but derived from a source other than the self-employed business may not be included in the bank statement average. W-2 earnings must be documented as per the requirements in *Wage-Earners* along with a processed 4506-T verifying the W-2 earnings only.
- Rental Income: Income derived solely from the ownership of rental properties as declared on Schedule E must be calculated per the requirements in *Rental Income*. Borrowers who receive rental income as a secondary income source may utilize bank statement documentation on a case-by-case basis.

8.3.1. PERSONAL BANK STATEMENTS

For personal bank statement documentation credit score and LTV restrictions, see the applicable MoXi Matrix.

Borrowers may provide either twelve (12) consecutive months or 24 consecutive months of bank statements. Twelve (12) months personal bank statements are considered alternative income documentation and additional restrictions apply, see Alternative Income Documentation for information.

The use of personal bank statements for income calculation should be supported by the type or nature of business operations and earnings received by the borrower. Personal bank statements should not be used to avoid business bank statements requirements.

The following documentation is required:

- 12 or 24 months complete personal bank statements from the same account (transaction history printouts are not acceptable)
- Initial 1003 with monthly income disclosed
- Verification business has been in existence for 2 years
- Verification of business existence required within 10 calendar days of closing

The following requirements apply when analyzing the personal bank statements:

- Multiple bank accounts may be used. Each account must include 12 or 24 months history depending on documentation type chosen. Mixing alternative and full documentation is prohibited.
- 100% of deposits used for income and averaged over 12 or 24 months
- Transfers between personal accounts should be excluded
- Transfers from a business account into a personal account may be acceptable. Supporting documentation may be required.

8.3.1.1. CALCULATING QUALIFYING INCOME

Qualifying income using personal bank statement documentation is the lower of the following calculations:

- Personal bank statement average (total deposits [minus disallowed deposits}/ *24 months or 12 months, depending on documentation type)
- Income indicated on the initial 1003

8.3.2. BUSINESS BANK STATEMENTS

Business bank statement documentation is allowed under all programs. *See the applicable MoXi Matrix for credit score and LTV restrictions.*

The following documentation is required:

- 24 months or 12 months complete business bank statements from the same account (transaction history printouts are not acceptable)
- Initial 1003 with monthly income disclosed
- Required documentation applicable to calculation option chosen *(see Calculating Qualifying Income for requirements)*
- Verification borrower is at least 50% owner of business and business has been in existence for 2 years
- Verification of business existence required within 10 calendar days of closing
- Ownership percentage must be documented via CPA letter, operating agreement, or equivalent
- All non-borrowing owners of the business must provide a signed and dated letter acknowledging the transaction and confirming the borrower's access to the account for income related purposes

The following requirements apply when analyzing the business bank statements:

- Business bank accounts or personal bank accounts addressed to a DBA
- Wire transfers and transfers from other accounts must be documented as generated from business income activities or excluded
- Statements should show a trend of ending balances that are stable or increasing over time
- Decreasing or negative ending balances must be explained
- Business expenses must be reasonable for the type of business (examples of businesses with higher expense ratios may include construction companies, builders, restaurants and retail firms)
- Additional supporting documentation may be required at underwriter discretion

8.3.2.1. CALCULATING QUALIFYING INCOME

In all cases, the income used must be reasonable and supported by the borrower's line of work, and any expense ratio provided must be reasonable for the borrower's line of work. Additional supporting documentation may be obtained at the underwriter's discretion.

There are three permissible methods for the calculation of bank statement income using borrower business bank statements.

METHOD 1: FLAT/UNIFORM EXPENSE RATIO

Process: Calculate qualifying deposits and multiply result by a 50% expense ratio. Multiply result by the borrower's ownership percentage and divide by the number of statements provided to determine monthly qualifying income. No P&L is required is required for this method.

Example: A business has total qualifying deposits over 12 months of $1,000,000. The borrower owns 65% of the business.

- $1,000,000 x 0.50 expense ratio = $500,000.
- $500,000 x 0.65 ownership percentage = $325,000.
- $325,000/12 months statements = $27,083.33/mo qualifying income.

METHOD 2: CPA LETTER FOR EXPENSE RATIO

Process: Provide a CPA-written statement for the actual expense ratio of the business, including cost of goods sold and all other business expenses, based on the most recent year's filed tax returns. This statement may not include disclaimers or exculpatory language. Regardless of expense ratio noted in the written statement, a minimum 10% expense ratio must be applied in all cases.

Calculate qualifying deposits and multiply result by the expense ratio in the written statement. Deduct that amount from the total qualifying deposits. Multiply the result by the borrower's ownership percentage and divide by the number of statements provided to determine monthly qualifying income.

Example: A business has total qualifying deposits over 24 months of $4,000,000 and the CPA states the expense percentage is 45%. The borrower owns 65% of the business.

- $4,000,000 x 0.45 expense ratio = $1,800,000.
- $4,000,000 - $1,800,000 = $2,200,000 net deposits.
- $2,200,000 x 0.65 ownership percentage = $1,430,000.
- $1,430,000/24 months statements = $59,583.33/mo qualifying income.

METHOD 3: CPA-PREPARED PROFIT & LOSS STATEMENT

Process: Provide a CPA-prepared profit and loss statement covering the period of the bank statements provided, accompanied by a written statement that the CPA has reviewed the P&L. The P&L and accompanying statement may not include disclaimers or exculpatory language. As long as the business bank statements support eligible deposits of at least 75% of the gross revenue listed on the P&L, use the borrower's ownership percentage of the net income from the P&L for qualifying.

Example: A business has total qualifying deposits over 24 months of $1,400,000 and the borrower owns 65% of the business. The gross revenue on the P&L is $1,640,000 and net income on the P&L is $656,000.

- $1,400,000 total deposits/$1,640,000 gross revenue = 0.853, 85% exceeds the 75% minimum requirement for total deposits as a percentage of gross revenue
- $656,000 net P&L income x 0.65 ownership percentage = $426,400
- $426,400/24 months P&L and bank statement period = $17,766.66/mo qualifying income

HOW TO CALCULATE EXPENSE RATIO:
Total expenses/gross revenue

Example: A business has $1,000,000 gross revenue and $700,000 of expenses.

- $700,000/$1,000,000 = 0.70, or a 70% expense ratio.

8.4 EMPLOYMENT HISTORY

Employment must be stable with at least a two (2) year history in the same job or jobs in the same field. Income from self-employment is considered stable if the borrower has been self-employed for two (2) or more years.

8.4.1. FREQUENT JOB CHANGES

Frequent job changes to advance within the same line of work may be considered favorable. Job changes without advancement or in different fields of work should be carefully reviewed to ensure consistent or increasing income levels and the likelihood of continued stable employment.

8.4.2. GAPS IN EMPLOYMENT

Borrowers should provide a signed, written explanation for any employment gaps that exceed 30 days in the most recent 12-month period, or that exceed 60 days in months 13-24 month period.

Recent graduates and borrowers re-entering the workforce after an extended period are allowed.

8.4.3. REMOTE WORK

MoXi considers remote work arrangements to be acceptable for all occupancy types. Verification of remote work arrangements and income continuance may be required at underwriter discretion.

8.5 SOURCES OF INCOME

For all income sources, borrowers are qualified based on calculated stable monthly income over the most recent two (2) year period. Income may be obtained from a variety of sources such as salary, bonus, commission, self-employment, etc., and should be reasonably expected to continue for the next three (3) years.

8.5.1. ANNUITY INCOME

Annuity income can be used for qualification when the following requirements are met:

- 12-month history must be verified using 1099s, tax returns, and/or bank statements

- Letter from issuer of annuity to be obtained stating that it has been set up on periodic withdrawal, amount of withdrawal, duration and balance
- Account asset balance must support the continuance of the monthly payments for at least 3 years after the close of escrow

Annuities less than 12 months old must be in a non-revocable trust with a minimum term of 40 months in order to use the income to qualify.

For annuity distributions from a 401(k) or pension, see *Pension/Retirement*.

8.5.2. ASSET DEPLETION

Asset depletion may be used to determine qualifying income for all transactions. Note that for cash out refinance transactions, proceeds of the cash-out refinance cannot be used for asset depletion calculation.

Asset depletion income may be used in conjunction with other types of qualifying income.

If borrowers are already receiving a structured withdrawal or disbursement from an asset account, that account may not be used toward qualifying assets for depletion. *See the applicable MoXi Matrix for credit score and LTV restrictions.*

Borrowers must have the lesser of (a) 1.25 times the loan balance, or (b) $500,000 in qualified assets, both of which must be net of down payment, loan costs and required reserves to qualify.

Qualified assets can be comprised of stocks, bonds, mutual funds, vested amount of retirement accounts and bank accounts. If a portion of the qualified assets are being used for down payment, closing costs, or reserves, those amounts must be excluded from the balance before analyzing a portfolio for income determination.

The following assets are considered "qualified assets" and can be utilized to calculate income:

- 100% of checking, savings, and money market accounts
- 70% of the remaining value of stocks & bonds
- 60% of retirement assets
  - Roth IRAs may be counted at 100% of the balance
  - If the borrower is over 59 ½, 100% of retirement assets may be used to qualify
- 6-month seasoning of assets required
  - If assets are seasoned less than 6 months, the underwriter may review and use for qualification if the funds can be adequately sourced and documented

The income calculation is as follows:

Monthly Income = Net Qualified Assets / 120 Months

8.5.3. AUTOMOBILE ALLOWANCE

Automobile allowances can be used to qualify the borrower, subject to additional requirements.

Allowances may not be used to offset a car payment, and automobile payments must be included in the debt-to-income ratio calculation.

Payments must have been received a minimum of 2 years, and the allowance must be documented on the borrower's pay stub. Qualifying income is the allowance received from the employer minus the expenses the borrower has deducted on IRS Form 2106. If the allowance is less than the expenses, the loss must be deducted from qualifying income.

8.5.4. BONUS AND OVERTIME

Bonus and overtime can be used to qualify if the borrower has received the income for the past 2 years and it is likely to continue. The underwriter should use an average of bonus or overtime income. A written VOE (FNMA Form 1005) should be obtained to provide a breakdown of bonus or overtime earnings for the most recent 2 years. If the employment verification states the income is unlikely to continue, it may not be used in qualifying.

8.5.5. CAPITAL GAINS

When income from capital gains is used to qualify the borrower, tax returns for the most recent 2 years are required to determine if the income is recurring and may be considered in qualifying. If a capital gain appears to be a onetime occurrence, it should not be considered when calculating income available.

For the income to be considered stable and likely to continue, the underwriter must document sufficient assets to show the borrower will continue receiving the capital gains for a minimum of 3 years from note date.

If the income is declining and/or there will be no asset base to generate the capital gains, it cannot be used for qualification purposes.

In addition, if assets that generated capital gains are being sold as part of the mortgage transaction, the income from capital gains must be reduced by a percentage equal to the percentage reduction in the value of the assets that generated the income.

8.5.6. CHILD SUPPORT, ALIMONY OR MAINTENANCE INCOME

In order for child support, alimony or separate maintenance to be considered stable income, it must continue for at least 3 years from note date as specified by the court order. The following requirements apply:

- A copy of the divorce decree or legal separation agreement must be obtained
- Documentation must be received to evidence receipt of the most recent 6 months of payments through copies of deposit slips, canceled checks, and/or bank statements

Full and timely payments must have been received for 6 months or longer. Income received for less than 6 months is considered unstable and may not be used to qualify the borrower. Also, if full or partial payments are made on an inconsistent or sporadic basis, the income is not acceptable for qualifying the borrower.

Note: MoXi expects brokers originating loans to make appropriate disclosures, as required under the US federal Equal Credit Opportunity Act, that child support, alimony, or maintenance income information need not be provided unless the borrower wants MoXi to consider such income in underwriting the loan.

8.5.7. COMMISSION INCOME

A commissioned borrower is one who receives more than 25% of his or her annual income from commissions. Commission earnings should be averaged over the most recent 2 years and require the following documentation:

- Copies of federal income tax returns for most recent 2 years
- Most recent year-to-date pay stub reflecting the commission earnings

A borrower on his current job for less than 2 years with a minimum 2-year history of receiving commission in the same line of work may also qualify to use commission earnings.

If there are large fluctuations, the borrower must provide a signed, written explanation to support the increase or decrease in income. Additional supporting documentation is required to use commission income for qualification when documentation shows a decline in earnings from one year to the next.

With borrowers that receive a draw against the commission earnings, the draw income is not to be considered in addition to the commission income. Draws are only to be considered income paid in advance of receiving commissions, where the amount is then subtracted once the commissions are earned.

See also Unreimbursed Business Expenses.

8.5.8. DECLINING INCOME

Declining income sources should be closely reviewed to determine if the income may be used for qualifying purposes. Income showing a consistent decline over the prior years should not be considered as stable or usable income for qualification purposes.

A signed, written explanation for the decline should be obtained from the borrower and/or employer. In instances where there is sufficient information to support the use of the income, the most recent lower income over the prior 2-year period must be used and may not be averaged.

8.5.9. DISABILITY INCOME

Long-term and short-term disability income can be used for qualification. The following documentation should be obtained for both long-term and short-term disability:

- Documentation from either the insurance company or employer providing the payment amount, conditions for termination of payment, and the likelihood of it continuing for at least 3 years
- Copy of most recent check or bank statement is required if the award letter does not reflect the current payment being received

Short-term disability also requires the following documentation:

- Signed letter from borrower stating intent to return to work, once the disability no longer exists
- Verification from employer stating that the borrower will be allowed to return to work once the disability no longer exists. The letter must identify the borrower's position and rate of pay upon return. If the future employment income will be less than the disability income, the lower income amount must be used to qualify for the loan.

In documenting disability income, MoXi must not make inappropriate and/or unlawful inquiries regarding the nature or severity of the borrower's disability.

8.5.10. DIVIDEND/INTEREST INCOME

Dividend and interest income derived from investments can be used as qualifying income when the following requirements are met:

- 2 most recent years federal income tax returns received supporting a 2-year history of receipt; and
- Verification of stock asset values no older than 30 days at closing.

Sufficient assets should remain after closing to continue to generate an acceptable level of earnings. If assets that generated dividend/interest income are being sold as part of the mortgage transaction, the qualifying income must be reduced by a percentage equal to the percentage reduction in the value of the assets that generated the income.

Earnings should generally be averaged over the time period verified when current earnings are consistent with historical dividend and interest earnings.

8.5.11. EMPLOYMENT BY A RELATIVE

Income for borrowers who are employed by a relative must be verified with all of the following:

- Federal income tax returns for the most recent 2 years;
- W-2s for the most recent 2 years; and
- Pay stub(s) covering the most recent 30-day period.

Income should be averaged over the 2-year period. Clarification of potential ownership by the borrowers of family-owned businesses may also be required. A borrower may be an officer of a family operated business but not an owner. Verification of their status should be provided by written confirmation obtained from a CPA or legal counsel.

8.5.12. FOREIGN INCOME

Foreign income is income earned by a borrower who is employed by a foreign corporation or a foreign government and is paid in foreign currency. Borrowers may use foreign income to qualify if the following requirements are met:

- Two (2) years U.S. federal income tax returns reflecting the foreign income
- Income is translated to US dollars

- Standard income stability and continuance requirements are met
- Standard documentation requirements apply based on the type of income
- Income from sanctioned countries administered by OFAC is not allowed.

8.5.13. FOSTER CARE INCOME

Income derived from foster care payments may be considered if there is a two (2)-year history of receipt and it is expected to continue for the next 3 years.

The income can be verified by letters from the organizations and copies of borrower's deposit slips or bank statements showing regular deposit of the payments, or by providing federal income tax returns for the most recent two (2) years. The documentation received must clearly show the number of foster children involved, their ages, and length of care.

Income must be averaged over the two (2) year period, and may not be considered for children who will reach the age of 19 within five (5) years.

8.5.14. HOURLY WAGES

Borrowers paid on an hourly basis, or who may not work a regular 40-hour work week throughout the year, will generally have their income averaged over the minimum employment history required. If there is an indication of declining income, the current income is used instead of the average.

8.5.15. LUMP-SUM DISTRIBUTIONS

Proceeds from the sale of investments held in a 401(k) or IRA account are not eligible as an income source. See *Dividend/Interest Income* for related allowable income sources.

8.5.16. MINISTER/CLERGY INCOME

Ministers are individuals duly ordained, commissioned or licensed by a church or church denomination. Ministers and members of the clergy are generally considered self-employed unless exempted by IRS from self-employment taxes. If exempt, an exception from the IRS must be provided.

Rental or housing allowance received can be considered income for qualifying the borrower. Written documentation, such as a WVOE provided by the church, must be obtained showing receipt of the income. The borrower's pay stub should also reflect receipt of the housing allowance. If the borrower is newly employed, obtain a copy of the church budget (in lieu of a check) showing funds have been allocated for housing allowance. Housing allowance for ministers is non-taxable income and can be grossed up for qualifying.

The church may budget for educational, medical insurance, life insurance, retirement, etc. to be paid on behalf of borrower; however, these items will not be considered as qualifying income, unless exempted by the IRS. The housing allowance, although not subject to federal income taxes, is subject to self-employment taxes. Gross income on Schedule SE of the borrower's 1040 should include housing allowance paid.

8.5.17. NON-TAXABLE INCOME

Non-taxable income can be grossed up by 25%. Examples of non-taxable income may include military allowances for clothing, quarters, and subsistence, child support, worker's compensation, disability retirement, social security income, clergy housing allowance, foster care income, food stamps, income from municipal bonds, and certain types of insurance benefits.

Some income types may contain both taxable and non-taxable income. Federal income tax returns may be required to accurately determine the non-taxable portion.

Income may not be grossed-up for calculating residual income.

8.5.18. NOTES RECEIVABLE INCOME

Income from notes receivables can be used to qualify provided the income is regular and recurring. The borrower should have a documented history of receiving the income for at least 2 years and can verify that the income will continue for at least 3 years from note on the new loan.

A copy of the note confirming the amount, frequency and duration of payments is required along with tax returns for the most recent 2-year period (including Schedule B) and bank statements showing consistent deposits of funds. Income from a recently executed note/contract (less than 12 months) may not be used as qualifying income.

Evidence of receipt for the last 12 months must be verified with either canceled checks, bank deposit slips, of federal income tax returns. A copy of the note verifying payment amount and remaining term of at least 3 years must also be obtained.

8.5.19. PART-TIME/SECOND JOB INCOME

Income from part-time employment or a second job can be considered stable income if it has been received for the previous 2-year and is likely to continue. Earnings must be documented with current pay stubs and W-2s for the most recent 2-year period.

8.5.20. PENSION/RETIREMENT

Pension and retirement income must be verified with any of the following:

- Letters from the organization providing the income
- Copy of retirement award letters
- Tax returns for the most recent 2 years
- W-2 forms or 1099 forms for the most recent 2 years
- Bank statements reflecting regular deposits for the most recent 2 months

8.5.20.1. Proof of Continuance

If the borrower is of retirement age, proof of continuance does not have to be documented when the income is received from corporate, government or military retirement/pension.

If retirement income is in the form of monthly annuity distributions, such as 401(k) or IRA, proof of continuance for 3 years is required. If the borrower intends to use the retirement account to also satisfy asset requirements, the value of the asset must be reduced by the funds being withdrawn prior to determining a 3-year continuance of income. Assets available beyond the deduction for continuance of income may be used as reserves.

See also 10.3.13 Retirement Accounts.

8.5.20.2. Forthcoming Retirement

Any borrower presently employed but anticipating retirement within 3 years from note date must be evaluated upon the verified anticipated retirement income. Effective income for borrowers planning to retire (or end employment for other reasons) during the period must include the amount of documented retirement or other benefits to be received, Social Security payments, or other payments expected to be received in retirement. A combination of present earnings and future retirement income does not represent a supportable level of earnings.

8.5.21. PUBLIC ASSISTANCE

Income from government assistance programs, such as food stamps, aid to dependent children, or welfare, can be used as qualifying income provided such income has a reasonable likelihood of continuing for at least 5 years.

The applicant must provide a copy of a benefits awards letter as evidence of eligibility. This documentation must verify the amount of assistance, duration of payment and what portion if any is non-taxable. Verification of receipt of benefits for the previous 2 years can be documented with copies of checks, copies of bank statements, copies of award letter or copies of grant statements.

In documenting and evaluating public assistance income, MoXi elects to comply with the requirements of the US federal Equal Credit Opportunity Act and any other self-imposed anti-discrimination laws deemed appropriate.

8.5.22. RENTAL INCOME

Rental income can be used for qualifying. The following requirements apply:

- Rental income must be disclosed on the loan application
- Rental income from a 1-unit primary residence may not be used
- Rental income from a primary residence accessory unit may be used.
- Rental income from subject property second-vacation homes may be used with the following:
    - 12 months documented history of receipt
    - Can use lease agreement/bank statements if not yet on tax returns

8.5.22.1. Income or Loss

The treatment of the monthly qualifying rental income or loss in the total debt-to-income ratio varies based on occupancy of the property.

If the property is a primary residence or 2nd home, the following applies:

- The monthly qualifying rental income must be added to the borrower's total monthly income (income is not netted against the PITIA); and
- The full PITIA must be included in the borrower's total monthly obligations when calculating the DTI.

If the rental income or loss relates to a property other than the borrower's primary residence, thefollowing calculations apply:

- If the monthly qualifying rental income minus the full PITIA is positive, it must be added to the borrower's total monthly income.
- If the monthly qualifying rental income minus PITIA is negative, the monthly net rental loss must be added to the borrower's total monthly obligations.
- The full PITIA for the rental property is factored into the amount of the net rental income or loss; therefore, it should not be counted as a monthly obligation.

8.5.22.2. Calculating Rental Income from the Subject Property

Rental income from the subject property owned prior to loan application should be calculated using the borrower's federal income tax returns for the most recent 2-year period (Cash Flow Analysis of Schedule E). Income should be averaged. Net rental losses should be included in ratios as a liability.

For properties owned for less than 2 years, rental income should be calculated using the lesser of:

- 75% of the current lease minus the full PITIA; or
- Cash flow analysis of the Schedule E from the most recent year's federal income tax return (if applicable)

Rental income from a new property being acquired through a purchase transaction can be used to qualify, using the lesser of:

- 75% of the current lease minus the full PITIA (evidence of deposit must be obtained); or
- 75% of the appraiser's opinion of rent on appraisal form 1007/216 minus the full PITIA

8.5.22.3. Rental Income from Other Real Estate Owned

Rental income from another property owned prior to loan application should be calculated using the borrower's federal income tax returns for the most recent 2-year period (Cash Flow Analysis of Schedule E). Income should be averaged. Net rental losses should be included in ratios as a liability.

For properties owned for less than 2 years, rental income should be calculated using the lesser of:

- 75% of the current lease minus the full PITIA; or
- Cash flow analysis of the Schedule E from the most recent year's federal income tax return (if applicable)

8.5.22.4. Cash Flow Analysis of Schedule E

Cash Flow Analysis of Schedule E should be completed as follows:

Gross Rents and Royalties Received
- Total Expenses
+ Depreciation
+ Insurance
+ Mortgage Interest
+ Taxes
+ HOA fees (if included on Schedule E)
Subtotal
Subtotal / 12 = Monthly Total
Monthly Total
- Proposed or Existing Monthly PITIA

8.5.23. SEASONAL INCOME

Income from seasonal employment can be considered if the applicant has worked the same job during the season for the past 2 years and expects to be rehired for the next season.

A written Verification of Employment (WVOE) and W-2s for the most recent 2 years are required. The WVOE must reference the likelihood of the borrower's rehire. Seasonal income should be averaged over a 2-year period.

8.5.24. SELF-EMPLOYED INCOME

A borrower is considered self-employed with 25% or more ownership interest in a business. The business may be a sole proprietorship, general partnership, limited partnership, corporation, or S-corporation.

8.5.24.1. Sole Proprietorship

A sole proprietorship is a business structure in which an individual and his or her company are considered a single entity for tax and liability purposes. Income and losses are reported on the owner's schedule C of the individual federal income tax return.

Documents required for determining income from a sole proprietorship are:

- Federal income tax returns (IRS Form 1040) for the most recent 2 years, including all schedules; and
- Year-to-date profit and loss statement (if the loan application is greater than 120 days after the year-end reflected on the most recent business tax returns provided); and
- Signed and executed IRS form 4506-T; and
- Verification of the existence of the business within 10 calendar days of closing.

8.5.24.2. Partnerships

A partnership is a business organization in which 2 or more individuals manage and operate the business. The partners share profits and losses and control of the business.

Documents required for determining partnership income are:

- Federal income tax returns (IRS Form 1040) for the most recent 2 years, including all schedules; and
- W-2s for the most recent 2 years (if applicable); and
- Partnership tax returns (IRS Form 1065) for the most recent 2 years, including all schedules and K-1s (Note: if borrower is a limited partner with less than 50% ownership, partnership tax returns are not required); and
- Year-to-date profit and loss statement (if the loan application is > 120 days after the year-end reflected on the most recent business tax returns provided); and
- Signed and executed IRS form 4506-T; and
- Verification of the existence of the business within 10 calendar days of closing.

8.5.24.3. Corporations

A corporation is a legal entity that is separate and distinct from its owners. If a borrower has more than 25% ownership in a corporation, they are considered to be self-employed. A borrower that is self-employed as a corporate officer will receive a pay stub and W-2, and will report income on his or her personal tax returns. Corporate income or losses are reported on the corporate tax returns (IRS Form 1120).

Documents required for determining income from a corporation:

- Federal income tax returns (IRS Form 1040) for the most recent 2 years, including all schedules; and
- W-2s for the most recent 2 years; and
- Corporate tax returns (IRS Form 1120) for the most recent 2 years, including all schedules; and

- Year-to-date profit and loss statement (if the loan application is > 120 days after the year-end reflected on the most recent business tax returns provided); and
- Signed and executed IRS form 4506-T; and
- Verification of the existence of the business within 10 calendar days of closing.

8.5.24.4. S Corporations (Subchapter S Corporations)

S Corporation (S-Corp) is a type of corporation which enables the company to have the benefits of a corporation but be taxed as if it were a partnership. S-Corps are generally small corporations. The profit of the corporation is given to each owner according to his or her share of ownership. The adjusted profit is then divided by the borrower's share of ownership and combined with W-2 income used for qualifying. Income is reported with both a W-2 and K-1 (reporting on the Schedule E) or only with a K-1.

Documents required for determining income from an S-corporation:

- Federal income tax returns (IRS Form 1040) for the most recent 2 years, including all schedules; and
- W-2s for the most recent 2 years; and
- Corporate tax returns (IRS Form 1120-S) for the most recent 2 years, including all schedules and K-1s; and
- Year-to-date profit and loss statement if the loan application is dated more than 120 days after
- the end of the business's tax year; and
- Signed and executed IRS form 4506-T; and
- Verification of the existence of the business within 10 calendar days of closing.

8.5.24.5. 1099 Miscellaneous Income

Payments to sole proprietors or contract individuals will also be reported on IRS Form 1099 form and included in the borrower's Schedule C. If a borrower receives 1099 income, federal income tax returns for the most recent 2 years (IRS Form 1040) are required to determine the income and related expenses.

1099 forms covering a full 2-year period are not required when a borrower changes from being paid W2s to 1099s while working for the same employer in the same position. Documentation from the employer should be obtained to verify the borrower is not responsible for additional expenses.

8.5.24.6. Reduced Documentation for a Secondary Business

Business tax returns, associated schedules, and profit and loss statements may be waived when all of the following requirements are met:

- Income/loss referenced on personal tax returns is generated from a secondary business that is not the borrower's primary income source; and
- Income/loss from each separate business is less than 10% of qualifying income for the transaction; and
- All losses are subtracted from the borrower's qualifying income.

If income from a business is used to qualify the borrower, or if business expenses are added back to income or a loss, then business tax returns, associated schedules, and profit and loss statements must be obtained. The underwriter may also use discretion to obtain all documentation for self-employed earnings when the secondary business may have a significant impact on the loan.

8.5.24.7. Cash Flow Analysis

The underwriter must prepare a written evaluation of the analysis of a self-employed borrower's personal income, including the business income or loss, reported on the borrower's federal income tax returns. A copy of the underwriter's written analysis must be included in the loan file.

8.5.25. SOCIAL SECURITY INCOME

When a borrower is drawing Social Security benefits from their own account/work record in the form of Retirement or Disability, one of the following items is required:

- Social Security Administrator's (SSA) Award letter, or
- Proof of current receipt

When a borrower is drawing benefits from their own account/work record in the form of Supplemental Security Income (SSI), both the award letter AND proof of current receipt must be obtained.

When a borrower is drawing Social Security benefits from another person's account/work record, all of the following items are required:

- SSA Award letter
- Proof of current receipt; and
- Proof benefit will continue for at least 3 years (e.g., verification of beneficiary's age)

See also Non-Taxable Income.

8.5.26. TEACHER INCOME

Teachers are paid on a 9-month, 10-month or 12-month basis. The underwriter should determine how the pay is structured before calculating the monthly income. If uncertainty exists, the borrower may provide a copy of their contract or the underwriter may verbally confirm with the school district's personnel office.

8.5.27. TIPS AND GRATUITIES

Tips and gratuity income can be considered if receipt of such income is typical for borrower's occupation (i.e., waitperson, taxi driver, etc.). Income should be received for at least 2 years and documented through the most recent year-to-date pay stubs and federal income tax returns for the most recent 2 years. Income should be averaged over the time period verified. If the tip income is not reported on the pay stubs or tax returns, then it may not be included in qualifying income.

8.5.28. TRAILING SPOUSE OR CO-BORROWER INCOME/RELOCATION

Trailing spouse income or co-borrower income to be received when the borrower is being relocated is not allowed to be used as qualifying income.

8.5.29. TRUST INCOME

Trust income can be used for qualification when all of the following requirements are met:

- Copy of the trust agreement or the trustee's statement must be obtained to confirm the amount, frequency, and duration of payments;
- Trust income to continue for at least 3 years from date of the mortgage application; and
- History of receiving the trust income must be documented for a minimum of 3 months.

Lump-sum distributions from the trust made prior to loan closing can be used for down payment or closing costs if the withdrawal does not affect the qualifying amount of continuing distributions to the borrower. The funds must be verified by a copy of the check or the trustee's letter that shows the distribution amount.

See also Trust Accounts.

8.5.30. UNREIMBURSED BUSINESS EXPENSES

Unreimbursed business expenses reported on IRS Form 2106 should be evaluated when commission earnings represent 25% or more of the borrower's total income.

Unreimbursed expenses should be averaged over the most recent 2-year period and deducted from the borrower's cash flow. If the borrower's employment situation has changed (new job or position, retirement, etc.) the expense deduction should be adjusted accordingly to reflect the borrower's present earnings situation.

When the borrower uses "Actual Expenses" for a leased automobile rather than the "Standard Mileage Rate," the "Actual Expenses" section of the IRS Form 2106 must be analyzed to determine the amount of the lease payments. The lease expense should only be counted once in the borrower's cash flow analysis, either as an expense on Form 2106 or as a monthly obligation.

If automobile depreciation is referenced on IRS Form 2106, the borrower's cash flow needs to be adjusted based on the depreciation method selected by the borrower:

- <u>Standard Mileage Deduction</u>: multiply business miles driven by the depreciation factor for the appropriate year and add the calculated amount to the borrower's cash flow
- <u>Actual Depreciation Expense Deduction</u>: add the amount the borrower claimed to the borrower's cash flow

8.5.31. UNACCEPTABLE INCOME

- Gambling winnings (except lottery continuing for 5 years)

- Educational benefits
- Stock options and awards, including **most** RSU's (restricted stock units)
- Refunds of federal, state, or local taxes
- Illegal income
- Expense account reimbursement

8.5.32. UNEMPLOYMENT COMPENSATION

Income derived from unemployment compensation is generally not allowed due to the limited duration of its receipt. Seasonal unemployment, however, can be considered if the borrower is employed in a field where weather affects the ability to work and where unemployment compensation is often received (i.e., construction). The income can be used to qualify on with a 2-year employment history in the same field of work and a 2-year history of receipt of unemployment compensation. Income should be averaged over the time period verified.

8.5.33. VA SURVIVORS' BENEFITS/DEPENDENT CARE

VA benefits must be documented with a copy of the award letter or distribution forms and must continue for at least 3 years.

9. RATIOS AND QUALIFYING

The housing ratio is calculated by dividing the borrower's total monthly housing expense by the borrower's total monthly qualifying income.

The debt-to-income ratio ("DTI") is calculated by adding the borrower's total PITIA and the borrower's total monthly obligations (installment and revolving debt, alimony, child support, net rental loss, etc.) and dividing by the borrower's total monthly qualifying income.

9.1 RATIOS

The housing ratio is calculated by dividing the borrower's total monthly housing expense by the borrower's total monthly qualifying income.

See MoXi Matrices.

9.2 RESIDUAL INCOME

Residual income is required for all primary and second home transactions using the following calculation:

Residual Income = Gross Monthly Income - Total Monthly Obligations

Residual Income of $1,500 is required for all transactions. An additional $150 per dependent must also be included for all programs. The initial 1003 should reflect the number of dependents for all borrowers on the transaction.

9.3 PAYMENT SHOCK

Payment Shock is limited to 150% on primary residence and 2nd home transactions, and is calculated as follows:

Payment Shock = (Proposed Housing Payment / Present Housing Payment) * 100

The underwriter may approve Payment Shock up to 250% when one of the following factors is present:

- Residual income greater than $3,500
- Representative credit score is greater than 740
- DTI less than 25%
- Housing Ratio less than 15%
- Reserves exceed minimum required by at least 3 months
- Borrowers' own funds contribution exceeds minimum required by at least 5%
- All consumer credit paid as agreed in the most recent 24 months

Calculation is based upon the current monthly housing payment and proposed mortgage payment. When the current payment has been made for less than 12 months, the payment made for the longest period during the last 24 months should be used.

For borrowers who have less than a 12-month housing history, do not have a current housing payment, or own a home free and clear, payment is shock is not considered.

See No Housing History or Less Than 12 Months Verified.

9.4 ADJUSTABLE RATE AND INTEREST-ONLY QUALIFYING

MoXi does not offer adjustable rate or interest only loan programs.

9.5 INTEREST-ONLY QUALIFYING

MoXi does not offer adjustable rate or interest only loan programs.

10. ASSET ANALYSIS

Loan files must evidence sufficient funds from acceptable sources for down payment, closing costs, prepaid items, debt payoff, and applicable reserves. A borrower's ability to accumulate assets provides insight into the individual's ability to successfully manage personal finances.

See Asset Documentation for sourcing and seasoning requirements.

10.1 DOWN PAYMENT

See applicable MoXi Matrix for specific LTV and down payment requirements.

10.2 RESERVES

Reserves are measured by the number of months of housing expense a borrower could pay using his or her financial assets.

All transactions require a minimum of 3 months reserves.

The highest reserve requirement, rather than a cumulative total, should be used when a transaction has multiple required reserves.

Net proceeds from cash-out transactions can be used to meet the reserve requirement. Gift funds may not be considered.

Additional reserves are also required when the following situations are present:

- <u>Multiple Financed Properties</u>: 2 months for each additional property
- <u>Use of Rental Income Without a Lease</u>: 3 months in addition to standard requirement
- <u>First-Time Homebuyer</u>: 12 months
- <u>Limited Trade lines</u>: 12 months
- <u>No Housing History or Less Than 12 Months Verified</u>: 6 months

10.3 VERIFICATION OF ASSETS

10.3.1. BORROWED FUNDS SECURED BY AN ASSET

Borrowed funds that are secured by an asset can be used as a source of funds for down payment, closing costs, and reserves. Assets that may be used to secure funds include automobiles, artwork, collectibles, stocks and/or bonds, and 401(k) accounts.

The terms of the secured loan and transfer of funds to the borrower should be documented. The individual providing the secured loan cannot be a party to the transaction.

The monthly payments for the loan secured by non-financial assets must be counted in the debt-to-income ratio. However, when the loan is secured by the borrower's financial assets and there are sufficient assets to pay off the loan currently verified, the monthly payment for the loan does not have to be considered as a long-term debt when qualifying the borrower (as in the case of a 401(k) loan). If the same financial asset is also used as part of the borrower's financial reserves, adequacy of the borrower's reserves must be determined after taking into consideration the net value of the asset after it has been reduced by the proceeds from the secured loan (and any related fees).

10.3.2. BUSINESS ASSETS

For self-employed borrowers, business assets are an acceptable source of funds for down payment, closing costs, and reserves. The borrowers on the loan must have 50% ownership of the business and must be the owners of the account.

Ownership percentage must be documented via CPA letter, Operating Agreement, or equivalent

All non-borrowing owners of the business must provide a signed and dated letter acknowledging the

transaction and confirming the borrower's access to the account for income related purposes

A letter from a CPA or borrower must be obtained verifying that the withdrawal of funds for the transaction will not have a negative impact on the business. If a CPA letter is not provided, a cash flow analysis of the tax returns, business bank statements, and P&L (when applicable) must be completed by the underwriter to determine if the withdrawal of funds from the business is acceptable.

10.3.3. CONCESSIONS AND CONTRIBUTIONS

10.3.3.1. Financing Concessions/Seller Contributions

For all transactions, the property seller and/or interested parties may contribute up to 6% of the lesser of the property's sales price or appraised value toward the buyer's closing costs, prepaid expenses, discount points, and other financing concessions.

10.3.3.2. Sales Concessions

Sales concessions include:

- Financing concessions in excess of the maximum financing concession limitations; or
- Contributions such as cash, furniture, automobiles, decorator allowances, moving costs, and other giveaways granted by any interested party to the transaction (contributions with a combined value under $1,000 should be excluded)

The value of sales concessions must be deducted from the sales price when calculating LTV for underwriting and eligibility purposes. The LTV is then calculated using the lower of the reduced purchase price or the appraised value.

Sales Concessions/Time Share Trade-In Test

When/if the purchase agreement for the property being conveyed includes a credit from the developer to the buyer from a previously purchased timeshare, and assuming the subject property is not a timeshare (as these are not permitted collateral), EITHER of the following guidelines apply:

- If the value under which the LTV and/or CLTV are calculated exclude any credits for past time share purchases, such credits need not be subject to the sales concession policy, and do not need to be documented. A similar methodology is used to calculate LTV when the sale price includes a country club membership (unless required for the development), vehicle, or fine artwork outside what is common/customary in the market.

For example:
New property purchase price is $1M USD; 'timeshare/club' membership credit is $100,000; appraised value of property is $1M. If $900,000 is used to calculate LTV/CLTV, no additional documentation is required.

- If the value under which the LTV and/or CLTV is calculated based on the full sales price of the property, the more conservative of either the sales concession policy will apply unless the underwriter reviews and approves the following documentation:
    - Original timeshare purchase agreement
    - Proof of payment in full of original timeshare purchase
        - Wire transfer confirmation(s)
        - Cancelled checks
    - Calculating the conveyed value of the subject property (and thus the LTV/CLTV) can only include credit for the amount actually paid; any outstanding balance on any financing offered in connection with the timeshare purchase must be satisfied in full at/prior to close or deducted from the credit when calculating LTV/CLTV.
    - If any installment agreement from the original timeshare purchase is still outstanding, this amount must be netted from the proceeds when calculating LTV.

For example:
New property purchase price is $1M USD; 'timeshare/club' membership credit is $100,000; appraised value of property is $1M. If calculating LTV/CLTV using a purchase price greater than $900,000, documentation must be provided to evidence that borrowers have, in fact, paid at least $100,000, excluding any fees, interest, or other charges.
Evidence is provided that shows timeshare purchase price was $100,000, but only $50,000 was paid by buyer(s) for the timeshare, new value used for LTV/CLTV calculation cannot exceed $950,000.

10.3.3.3. Buydowns

Rate buydowns paid by the property seller and/or interested parties are considered a part of financing concessions and/or seller contributions and must be counted toward the 6% maximum contribution limit of the lesser of the property's sales price or appraised value.

10.3.4. DEPOSITORY ACCOUNTS

Funds held in a checking, savings, money market, certificate of deposit, or other depository accounts can be used for down payment, closing costs, and reserves.

The underwriter must investigate any indications of borrowed funds, including recently opened accounts, recent large deposits, or account balances that are considerably greater than the average balance over the previous few months. A signed, written explanation of the source of funds should be obtained from the borrower and the source of funds verified. Unverified funds are not acceptable.

See also Asset Documentation.

If the borrower does not hold the deposit account solely, all non-borrower parties on the account (excluding a non-borrowing spouse) must provide a written statement that the borrower has full access and use of the funds.

See also Spousal Accounts.

If bank statements provided reflect payments being made on obligations not listed on the credit report,

see Undisclosed Debts for additional guidance.

10.3.5. EARNEST MONEY/CASH DEPOSIT ON SALES CONTRACT

If earnest money is needed to meet the borrower's minimum contribution requirement, the underwriter must verify that the funds are from an acceptable source. Satisfactory documentation includes any of the following:

- International wire transfer receipt showing that the funds originated from the borrower's account
- Copy of the borrower's canceled check
- Certification from the deposit holder acknowledging receipt of funds

- VOD or bank statement showing that the average balance was sufficient to cover the amount of the earnest money at the time of the deposit

If the earnest money check has cleared the bank, bank statements should cover the period up to and including the date the check or wire transfer cleared the account. A copy of the check that has not cleared may also be obtained along with a processor's certification verifying with the bank the date the check cleared, the dollaramount of the check, and the individual providing the information.

10.3.6. GIFT FUNDS

Gift funds are allowed on primary residence and second home transactions.

- Primary residence and second homes only.
- Not permitted for investment property transactions.
- Borrower must contribute a minimum of 5% of their own funds to the transaction. The funds must be documented according to standard asset documentation requirements.
- Gift funds must come from an acceptable donor.

Foreign assets are prohibited for gift funds unless US institution seasoning requirements are met (see Foreign Assets requirements).

A gift can be provided by:

- a relative, defined as the borrower's spouse, child, or other dependent, or by any other individual who is related to the borrower by blood, marriage, adoption, or legal guardianship; or
- a fiancé, fiancée, or domestic partner.

- The donor may not be, or have any affiliation with, the builder, the developer, the real estate agent, or any other interested party to the transaction.

Documentation Requirements:

Gifts must be evidenced by a letter signed by the donor, called a gift letter. The gift letter must:

- specify the dollar amount of the gift;
- specify the date the funds were transferred;
- include the donor's statement that no repayment is expected; and
- indicate the donor's name, address, telephone number, and relationship to the borrower.
- When a gift from a relative or domestic partner is being pooled with the borrower's funds to make up the required minimum cash down payment, the following items must also be included:
- A certification from the donor stating that he or she has lived with the borrower for the past 12 months and will continue to do so in the new residence.
- Documents that demonstrate a history of borrower and donor shared residency. The donor's address must be the same as the borrower's address. Examples include but are not limited to a copy of a driver's license, a bill, or a bank statement.

Verifying Donor Availability of Funds and Transfer of Gift Funds

The lender must verify that sufficient funds to cover the gift are either in the donor's account or have been transferred to the borrower's account. Acceptable documentation includes the following:

- a copy of the donor's check and the borrower's deposit slip,
- a copy of the donor's withdrawal slip and the borrower's deposit slip,
- a copy of the donor's check to the closing agent, or
- a settlement statement showing receipt of the donor's check.
- When the funds are not transferred prior to settlement, the lender must document that the donor gave the closing agent the gift funds in the form of a certified check, a cashier's check, or other official check.

If the borrower receives a gift from a relative or domestic partner who has lived with the borrower for the last 12 months, or from a fiancé or fiancée, the gift is considered the borrower's own funds and may be used to satisfy the minimum borrower contribution requirement as long as both individuals will use the home being purchased as their principal residence.

10.3.7. GIFTS OF EQUITY

Gifts of equity on non-arm's length transactions are allowed. Transactions with gifts of equity are subject to the maximum LTVs available for cash-out transactions, and no minimum borrower contribution is required.

The following requirements apply:

- Primary residence transactions only
- Gift of equity is from an immediate family member
- Six months of reserves required of borrower's own funds
- Non-arm's length criteria is met
- Signed gift letter is provided
- Gift of equity is listed on the settlement statement

10.3.8. FOREIGN ASSETS

All funds required for down payment, closing costs, and reserves must be seasoned for 60 days.

See Asset Documentation.

Foreign assets deposited into a US institution within 60 days of application are acceptable if there is evidence that the funds were transferred from the country from which the borrower or gift donor previously or currentlyresides. It must also be established that the funds belonged to the borrower or gift donor before the date of transfer.

Funds required for closing (down payment and closing costs) must be seasoned in a US depository institution for 30 days prior to closing.

Assets held in a foreign account can be used for reserves. The most recent 30-day account statement is required, and funds are to be converted to US dollars using the current exchange rate. A letter of reference on company letterhead from a verifiable banking institution may also be obtained. Contact information must be provided by the person signing the letter, and the letter must state the type of relationship, length of the relationship, how accounts are held, and current balance. Any translation must be signed and dated by a certified translator.

10.3.9. LIFE INSURANCE

Net proceeds from the surrender of a life insurance policy or from a loan against the cash value are acceptable for down payment, closing costs, and reserves.

To document receipt of funds from the insurance company, a copy of the check from the insurer or copy of the payout statement issued by the insurer must be obtained.

The underwriter must assess any repayment obligations to determine any impact on borrower qualification or reserves. If penalties for failure to repay the loan are limited to the surrender of the policy, payments on a loan secured by the cash value of a borrower's life insurance policy do not have to be considered in the total debt-to-income ratio. If additional obligations are indicated, the amount must be factored into the total debt-to-income ratio or subtracted from the borrower's reserves.

10.3.10. MINIMUM BORROWER CONTRIBUTION

Borrowers must contribute a minimum of 35% of their own funds towards the down payment on purchase transactions.

10.3.11. NET PROCEEDS FROM SALE OF REAL ESTATE

If part of the down payment is expected to be paid from the sale of the borrower's current home, a final settlement statement verifying sufficient net proceeds must be obtained.

10.3.12. CRYPTOCURRENCY

Policy suspended for all loans with a conditional loan approval issued 12/1/2022 or later.

Cryptocurrency is an acceptable source of down payment and closing costs. Due to the fluid nature of the assets, they may not be considered for reserves. The only two acceptable cryptocurrency types areBitcoin and Ethereum. Other cryptocurrencies are not acceptable. The lender must document the following:

- 75% of the available balance of cryptocurrency may be used for qualifying.
- The underwriter must independently verify and document the lowest historical value of the cryptocurrency in the last 90 days using Coindesk.
- Proof of available balance must include the type of cryptocurrency, the amount of coins held, and proof of customer identity to include account number and accountholder name.
- Proof of liquidation and deposit into standard currency account prior to closing is required.

10.3.13. RETIREMENT ACCOUNTS

Vested funds from individual retirement accounts (IRA/SEP/Keogh accounts) and tax-favored retirement savings accounts (401(k) accounts) are acceptable sources of funds for the down payment, closing costs, and reserves. The lender must verify the ownership of the account and confirm that the account is vested and allows withdrawals regardless of current employment status.

If the retirement assets are in the form of stocks, bonds, or mutual funds, the account must meet the requirements of *Stocks, Bonds, and Mutual Funds* for determining value and whether documentation of the borrower's actual receipt of funds is required when used for the down payment and closing costs. When funds from retirement accounts are used for reserves, the funds do not have to be withdrawn from the account.

If the borrower intends to use the retirement account to also satisfy income requirements, see also *Proof of Continuance*.

10.3.14. SALE OF PERSONAL ASSETS

Proceeds from the sale of personal assets are an acceptable source of funds for down payment, closing costs, and reserves, provided the individual purchasing the asset is not a party to the property sale or mortgage financing transaction.

The broker must document the following:

- Borrower's ownership of the asset
- Value of the asset, as determined by an independent and reputable source

- Transfer of ownership of the asset, as documented by either a bill of sale or a statement from the purchaser
- Borrower's receipt of the sale proceeds from documents such as deposit slips, bank statements, or copies of the purchaser's canceled check

10.3.15. SECONDARY/SUBORDINATE FINANCING

Secondary or subordinate financing is allowed with a maximum CLTV of 80% for primaryresidence and second home transactions. Secondary/subordinate financing is NOT PERMITTED for investment properties.

CLTV up to:

- 70% = 0.25 rate adjustment
- 75% = 0.50 rate adjustment
- 80% = 0.75 rate adjustment

If the subordinate financing has a simultaneous closing, the following is required:

- A copy of the loan approval and repayment terms for the new financing; and
- A copy of the executed note at closing.

If the subordinate financing is being subordinated, the following is required:

- The repayment terms of the existing second lien;
- An unsigned copy of the subordination agreement prior to closing; and
- A copy of the executed subordination agreement at closing.

The following requirements apply to all subordinate liens:

- Seller-held subordinate liens are acceptable.
- Subordinate financing must be recorded and clearly subordinate to the new mortgage
- Payment on the subordinate financing must be included the borrower's DTI. If a payment is unable to be determined, 1.5% of the original loan balance can be used.
- If the debt is an equity line of credit, the CLTV ratio is calculated by adding the total HELOC credit line limit (rather than the amount of the HELOC in use) to the first mortgage amount, plus any other subordinate financing, and dividing that sum by the value of the property
- Negative amortization is NOT allowed and the scheduled payments must be sufficient to cover at least the interest due
- Subordinate financing from the borrower's employer may not include a provision requiring payment upon termination

10.3.16. SPOUSAL ACCOUNTS

Accounts held solely in the name of a non-borrowing spouse may be used for down payment and closing costs only and are subject to the seasoning requirements outlined in *Asset Documentation*. Accounts held solely in the name of a non-borrowing spouse may not be used to meet reserve requirements.

10.3.17. STOCK OPTIONS

Vested stock options are an acceptable source of funds for down payment and closing costs when immediately available to the borrower. Stock options may not be used to meet reserve requirements.

The value of vested stock options can be documented by:

- Referencing a statement listing the number of options and the option price; and
- Determining the gain that would be realized from exercise of an option and the sale of the optioned stock using the current stock price

10.3.18. STOCKS, BONDS, AND MUTUAL FUNDS

Vested assets in the form of stocks, government bonds, and mutual funds are acceptable sources of funds for the down payment, closing costs, and reserves provided their value can be verified. The lender must verify the borrower's ownership of the account or asset.

When used for the down payment or closing costs, if the value of the asset is at least 30% more than the amount of funds needed for the down payment and closing costs, no documentation of the borrower's actual receipt of funds realized from the sale or liquidation is required. Otherwise, evidence of the borrower's actual receipt of funds realized from the sale or liquidation must be documented.

When used for reserves, 100% of the value of the assets (as determined above) may be considered, and liquidation is not required.

10.3.19. TRUST ACCOUNTS

Funds disbursed from a borrower's trust account are an acceptable source for down payment, closing costs, and reserves provided the borrower has immediate access to the funds.

To document trust account funds, the underwriter must:

- Obtain written documentation of the value of the trust account from either the trust manager or the trustee; and
- Document the conditions under which the borrower has access to the funds and the effect, if any, that the withdrawal of funds will have on trust income used in qualifying the borrower for the mortgage.

See *Trust Income* if trust is also being used as a source of income to qualify the borrower.

10.3.20. UNACCEPTABLE FUNDS

- Cash-on-hand
- Sweat equity
- Gift or grant funds which must be repaid
- Down payment assistance programs
- Bridge loans
- Unsecured loans or cash advances
- Section 8 Voucher Assistance

11. PROPERTY

11.1 GENERAL PROPERTY REQUIREMENTS

A completed appraisal report is required on all loan transactions to assess the adequacy of the property as collateral for the mortgage requested. MoXi IS responsible for all of the following:

- The accuracy and completeness of the appraisal and its assessment of the marketability of the property
- Underwriting the completed appraisal report to determine whether the subject property presents adequate collateral for the mortgage
- Continually evaluating the quality of the appraiser's work through normal underwriting review of all appraisal reports and spot-check field review of appraisals as part of its quality control program
- Ensuring that the appraiser uses sound reasoning and provides evidence to support the methodology used for developing the value opinion
- Ensuring that the appraiser provides an accurate opinion, an adequately supported value, and an accurate description of the property
- Ensuring that the appraiser provides his or her license or certification on the appraisal report
- Disclosing to the appraiser any information about the subject property of which it is aware of that could impact the marketability of the property
- Providing the appraiser with the ratified sales contract and other financing or sales concessions that are associated with the transaction
- Ordering and receiving the appraisal report for each loan transaction
- Ensuring the appraiser does not use unsupported assumptions or use race, color, religion, sex, handicap, familial status, national origin for any party in the transaction, or impermissible demographics of the community in which the property is located, as the basis for market value

11.2 APPRAISAL REPORT AND APPRAISAL REQUIREMENTS

Appraisers are required to use current appraisal report formats that are acceptable as Mexican Government. All appraisals and Certified appraisers are required to follow general criteria and laws of Ley De Transparencia Y de LA Competencia EN EL Credito Garantizado.

The following appraisal report forms are required to be used:

- Uniform Residential Appraisal Form
- Small Residential Income Property Appraisal Report
- Individual Condominium Unit Appraisal Report
- Appraisal Update and/or Completion Report

APPRAISAL REPORT REQUIREMENTS

The following items must be contained in the appraisal report:

- Complete copy of the full appraisal including color photos and complete comments in all sections.
- All three valuation sections (physical, market, rental) must be complete
- Original color photographs or digital color images of the front, street, and rear views of the subject property.
- Floor plans and sketches
- Interior photos of the subject are required to include the kitchen, all bathrooms, the main living area, any areas with physical deterioration, and any renovations/ improvements.
- Appraisal must include calculation/formula used to achieve values.
- Appraisal report must be signed and stamped by the appraiser and the review authority
- Appraiser to provide clarifications as requested by underwriter.

11.2.1. APPRAISER QUALIFICATIONS

Requirements to be an appraiser in Mexico to issue a valid mortgage appraisal is based on Article 7 of the Ley de la Transparencia y de Fomento a la Competencia en Credito Garantizado, La Sociedad Hipotecaria Nacional, Sociedad Nacional de Credito and Institution de Banca de Desarrollo.

Licensed appraisers in Mexico:

- Must adhere to the following:
  - Have a Certified Professional License from the Direccion General de Profesiones de la Secretaria de Educacion Publica as an Architect, Civil Engineer or any other BA that is related to Real Estate Appraisal practices.
  - Professional(s) that do not have a Certified Professional License must obtain a License from the Direccion General de Profesiones de la Secretaria de Educacion Publica, or be considered as an appraisal by a certified Appraisers College.
  - Be certified as a Public Broker by the Secretaria de Economia with the proper training passed to hold an Appraisal license in Mexico.
- Be part of the of the List of Authorized Appraisers of registered Valuation Unit
- Have at least 1 year of experience as an appraiser for Real Estate
- Request from the Valuation Unit that is properly registered with the federal government in Mexico as an authorized Appraiser
- Valid CURP (Clave Unica de Registro Poblacional) Unique Code of Population Registration in Mexico

- Have extensive knowledge on the ruling law, committing to the full compliance of the law as it pertains to Real Estate and Appraisals.

11.2.2. ELECTRONIC SUBMISSION OF APPRAISAL REPORT

Appraisal reports which have been transmitted electronically using internet, wireless transmissions, or other types of electronic transmissions are acceptable, provided the following are met:

- The appraisal report accurately identifies the appraiser and is signed by the appraiser. Digitized signatures are acceptable.
- The appraisal report was created by the appraiser whose name appears on the appraisal report and that the appraisal is complete, unaltered, and submitted by the identified appraiser.
- All credit files in Mexico are required to have a governmental stamped official Appraisal as a hard copy in the completed executed closing file.

11.2.3. AGE OF APPRAISAL AND APPRAISAL UPDATES

Properties must be appraised within 180 days (about 6 months) of the note date. When an appraisal report will be more than 180 days old on the date of the note, regardless of whether the property was appraised as proposed or existing construction, the appraiser must inspect the exterior of the property and review current market data to determine whether the property has declined in value since the date of the original appraisal. This inspection and results of the analysis must be reported on an Appraisal Update and/or Completion Report with interior and exterior photos.

If the appraiser indicates on the form that the property value has declined, then MoXi must obtain a new appraisal for the property.

If the appraiser indicates on the form that the property value has not declined, then the underwriter may proceed with the loan in process without requiring any additional fieldwork.

Note: The appraisal update must occur within the 180 day appraisal validity window AND appraisal updates are valid only for an additional 60 days. In all cases, an appraisal is no longer valid after 240 days.

The original appraiser should complete the appraisal update; however, MoXi may use substitute appraisers. When updates are completed by substitute appraisers, the substitute appraiser must review the original appraisal and express an opinion about whether the original appraiser's opinion of market value was reasonable on the date of the original appraisal report. The underwriter must note in the file why the original appraiser was not used.

11.3 MINIMUM PROPERTY STANDARDS

All properties must:

- Be improved real property
- Be designed and available for year around residential use
- Contain a kitchen and a bathroom

- Contain a minimum of 650 square feet (60square meters) of gross 'air conditioned living area'
- Be heated by a continuously fueled heat source which is permanently affixed to the real estate. Alternative heat sources are acceptable when marketability has been demonstrated. See 11.7.18.
- Average or better than average condition
- Represent the "highest and best" use of the subject
- Be free of all health and safety violations
- NOT be in violation of any housing codes or exhibit items that adversely affect the ownership, habitability, or marketability of the subject property
- Must have a remaining economic life of 30 years.

11.4 PROPERTY LOCATION

See applicable MoXi Matrix.

Subject property must be subject to the laws of the state in which the loan is made.

11.5 PROPERTY TYPE ELIGIBILITY

Eligible property types include:

- Single-Family Residence Detached
- Single-Family Residence Attached
- Planned Unit Development (existing)
- Planned Unit Development (new)
- Townhomes
- Mixed-Use Properties with >50% of 'air conditioned living area' considered residential
- Multi-family properties (2-4 unit)
- Condominium (low-rise 1-4 stories)
- Condominium (high-rise 5+ stories)

Ineligible property types include:

- Farms or Hobby Farms
- Properties subject to Rent Control regulations
- Unique Properties (Earth Homes, Berm Homes, Dome Homes, etc.)
- Manufactured Homes
- Co-operative Units
- Condotels or Condo Hotels
- Log Homes
- Modular Homes
- Properties that do not meet the minimum hurricane and wind standards required for property insurance

11.6 MARKET ANALYSIS

11.6.1. NEIGHBORHOOD REVIEW

The neighborhood section should contain an accurate description of the subject's neighborhood and any factors about the neighborhood that may influence value. Specific neighborhood characteristics include the following:

- Degree of development
- Demand and supply
- Present land use
- Owner-occupancy
- Price range and predominant value
- Age of subject property
- Appeal to market and marketing time

11.6.2. COMPATIBILITY OF SUBJECT PROPERTY AND NEIGHBORHOOD

The age and price of the subject property should generally be within the age and price range of properties in the subject neighborhood. Neighborhood factors indicating compatibility of the subject, such as present land use, predominant occupancy, and anticipated change in present land use are considered. Residential properties in areas that are zoned as either agricultural or commercial may be considered acceptable risks so long as their location does not impact marketability.

11.6.3. PROXIMITY OF COMPARABLES TO SUBJECT PROPERTY

Whenever possible, comparable sales in the same neighborhood as the subject property should be used. Sales prices of comparable properties in the neighborhood should reflect the same positive and negative location characteristics.

For properties in established subdivisions, condominium projects or planned unit developments ("PUD"), comparable sales from within the same subdivision or project as the subject property must be used if the subdivision or project has resale activity. Use of comparable properties located outside of the established subject neighborhood must be explained in the appraisal analysis.

For properties in new subdivisions, condo projects or PUDs, the subject property must be compared to other properties in its general market area as well as to properties within the subject subdivision or project. The appraiser must select one comparable sale from the subject subdivision or project and one comparable sale from outside the subject subdivision or project. The third comparable sale can be from inside or outside of the subject subdivision or project, provided it is a good indicator of value for the subject property.

11.6.4. AGE OF COMPARABLES

Generally, appraisals should contain comparables sales or listings dated within 6 months from the report date.

Comparables from 6 to 12 months are permitted on a limited basis with an explanation from the appraiser. Older comparable sales or listings that are the best indicator of value for the subject property may be used if appropriate. Underwriters are to ensure value is supported and market acceptance has been demonstrated when older comparables are utilized.

11.6.5. PROPERTY VALUES WITHIN MARKET AREA

The value of subject property should be in line with the home prices in the subject's market area. The appraiser must report the primary indicators of market condition for properties in the subject neighborhood as of the effective date of the appraisal by noting the following:

- the trend of property values
- the supply of properties in the subject neighborhood
- marketing time for properties

The appraiser must provide their conclusions for the reasons a market is experiencing declining property values, an over-supply of properties, or marketing times over 6 months.

11.6.6. REDLINING PROHIBITION

Prohibited bases such as race, ethnicity, gender, minority geography or any other prohibited basis category should not be included as an appraisal factor or considered when reviewing an appraisal. As a matter of policy, appraisal reports which make reference to a prohibited basis category (e.g. race or minority geography) are not acceptable. The use of code phrases as proxies for race which are not necessarily descriptive of value or risk is unacceptable. The information in the appraisal report must support in an objective manner any statement or conclusion contained in the report.

11.6.7. OVER-IMPROVEMENTS

An over-improvement is an improvement that costs more than its contributory value within the marketplace. The appraiser must comment on over-improvements and indicate their contributory value in the "sales comparison analysis" adjustment grid. Improvements can represent an over-improvement for the neighborhood, but still be within the neighborhood price range—such as a property with an inground swimming pool, a large addition, or an oversized garage in a market that does not demand these kinds of improvements. Underwriters must review appraisals on properties with over-improvements that may not be acceptable to the typical purchaser to ensure that only the contributory value of the over-improvement is reflected in the appraisal analysis.

11.7 VALUATION ANALYSIS

11.7.1. SALES COMPARISON APPROACH

Each appraisal must contain an estimate of market value. Market value is defined as the most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition are the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

- Buyer and seller of property are typically motivated
- Both parties are well informed or well advised, acting in what they consider their best interest
- A reasonable time is allowed for exposure in the open market
- Payment is made in terms of cash in either US dollars or Mexican pesos, or in terms of comparable financial arrangements comparable
- The price represents the normal consideration for the subject property sold unaffected by special financing or sales concessions granted by anyone associated with the sale

A minimum of 2 comparables must be reported in the sales comparison approach. Additional comparable sales may be reported to support the opinion of market value provided by the appraiser. Contract offerings and current listings can be used as sales comparables.

Comparable sales/listings utilized in the market approach should:

- Be within five (5) miles of the subject property
- Are recent - within 12 months
- Indicate properties that are similar to the subject property with respect to age, size, features, amenities, etc.
- Result in an overall net adjustment not exceeding 15% of the sales price of that comparable and a gross adjustment not exceeding 25% of the sales price of that comparable
- Have a sales price that is within the general range of value as the subject

In instances where comparables conforming to the criteria stated above cannot be used, the appraiser must clearly justify reasons for alternate comparables.

11.7.2. COST APPROACH

When completed and/or available, the cost approach must clearly segregate value attributed to land, outbuildings, etc. If the ratio of land value to total value exceeds 35%, an explanation from the appraiser may be required to demonstrate conformance with neighboring properties.

See also *Land Value*.

Appraisals that rely solely on the cost approach as an indicator of market value are <u>not</u> acceptable.

11.7.3. INCOME APPROACH

When the income approach to value is used and/or available, the appraisal report should include the supporting comparable rental and sales data and the calculations used to determine the gross rent multiplier. Appraisals that rely solely on the income approach as an indicator of market value are not acceptable.

11.7.4. VALUATION ANALYSIS AND FINAL RECONCILIATION

In the final reconciliation, appraisers must reconcile the reasonableness and reliability of each applicable approach to value along with validity of the indicated values. The appraiser must select and report the approaches that were given the most weight. Maximo, Minimo, and Promedio valuation approach should be included in the report.

11.7.5. APPRAISER'S VALUATION EXCHANGE RATE

Appraisers shall include the exchange rate they use in their valuation analysis on the date of the appraisal. MoXi will evaluate the exchange rate and use it for pesos to USD conversion calculations to determine the converted USD appraised value of the property. An email from the appraiser dated within 10 days of the reportsubmission date is an acceptable alternative.

If the appraiser does not provide the exchange rate used at the time of valuation, MoXi will use the Diario Oficial de la Federal (DOF) exchange rate for the date of the appraisal to determine the USD appraised value of the property.

11.7.6. APPRAISAL REVIEW PROCESS

The appraisal review process may require MoXi to obtain a secondary appraisal product to support the appraisal value for the transaction. Acceptable review products include:

- Automated valuation tool if available (must contain a value and comparative sales data to support the valuation result)
- Desk Review
- Field Review
- Second Full Appraisal (appraisals must be completed by different, independent appraisers and the lower of the two appraised values used to determine value)

The following transactions require one of the aforementioned review products:

- Property values between $1.5 million and $3.0 million with LTV greater than 50.00%
- Cash-out greater than $1,000,000
- Non-arm's length transactions
- Flip transactions

The following transactions require a 2nd full appraisal:

- Approved loan amount exceptions exceeding the maximum loan amount
- Property values greater than $3,000,000

Existing policies should continue to be followed for guidance on ordering discretionary appraisal review products if there are concerns with the original appraisal report. MoXi reserves the right to request additional appraisal products at their discretion based on review of the appraisal and loan file.

11.7.7. APPRAISAL REVIEW TOLERANCE

A 20% tolerance is permitted for secondary review products. If the review product value is more than 20% below the appraisal value, the lower of the two values must be used.

If the tolerance is exceeded, the underwriter may choose to order an additional review product of a higher-level review. The original appraised value may then be used if the additional review product value is within 20% of the appraised value. If the variance is greater than 20% a second full appraisal is required.

PROPERTY CONSIDERATIONS

11.7.8. ACCESSORY UNITS

Properties with accessory units, also known as “granny units”, mother-in-law suites, etc..., are acceptable if all of the following are met:

- Property is typical, readily-acceptable, and common in the subject’s market area
- Property must conform to all zoning laws and/or regulations
- Appraisal contains 3 comparables with similar additional accessory units
- Accessory unit is substantially smaller than the primary dwelling
- Legal non-conforming use is acceptable provided its current use does not adversely affect value and marketability
- Any rental income received from the accessory unit may not be used for qualifying
- Existence of the unit must not jeopardize any future hazard insurance claim that may need to be filed for the property

11.7.9. DAMPNESS

If the appraisal report notes evidence of dampness, the appraiser must clearly define the effect on value and marketability of the subject property, as well as comment regarding the probable cause of the dampness problem. Generally, a structural engineer’s report is required prior to making a loan decision. The cause of the dampness must be corrected prior to closing should the dampness problem indicate a structural deficiency and/or significant negative impact on value or marketability.

11.7.10. FIDEICOMISO RESTRICTIONS

Fideicomiso restrictions impact the future transferability of a property. The following fideicomiso restrictions are allowed:

- Age Restricted Communities

Deed restrictions must be reviewed to ensure all of the following requirements are met:

- Appraisal supports property is common and typical for the market area
- Deed restriction must not impair or restrict the first mortgage holder's legal rights in the event of a default (or cure), foreclosure, or any other default measure
- Declarations must not contain any provisions that would require the first mortgage holder to send a notice of default or foreclosure to any third party
- Deed restriction must not require the lender to provide notification to the governing authority of any delinquency or default

11.7.11. DEFERRED MAINTENANCE

Property must be in average or better condition. Deferred maintenance is allowed provided the neglected item is not structural in nature (as noted by the appraiser). Deferred items may be left "as is" if the aggregate cost to cure the deficiency does not exceed $1,500 or impact the safety or habitability of the property.

11.7.12. DISASTER AREAS

The underwriters are responsible for identifying areas impacted by disasters and taking the appropriate steps to ensure the subject property has not been adversely affected. Examples of disasters include, but are not limited to, hurricanes, earthquakes, floods, landslides, tornadoes, wildfires, volcanic eruptions, civil unrest, and terrorist attacks.

Adverse events that receive a formal disaster declaration issued by local, state or federal department of emergency management must follow the procedures listed below. A list of all Mexico federally declared disaster areas may be found on the Direccion De Obras Publicas website

In addition, when there is knowledge of an adverse event occurring in and around the subject property's geographic region and a formal declaration has not yet been made, additional due diligence is required to determine whether the disaster area guidelines must be followed.

11.7.12.1. Time Period

Guidelines for disaster areas should be followed for 150 days from the incident period ending date or the date the adverse event occurred, whichever is later.

11.7.12.2. Appraisal Not Completed or Appraised Prior to Disaster Incident

When the appraisal was completed prior to the disaster incident, or the appraisal has not been completed, an interior and exterior inspection of the subject property is required.

- Inspection must be completed by licensed third-party professional to certify the condition of the subject property and to identify any impact to habitability or marketability.
- Inspection report must include photographs of front, rear and street view of the property.

- Any damage must be repaired and re-inspected prior to purchase.
- File must contain a copy of the inspection report and evidence of inspector licensing.

An appraisal update or final inspection from the appraiser must also be obtained.

- Appraiser must comment on the adverse event and certify there has been no decline in value.
- Existing damage must meet requirements set forth in Deferred Maintenance.

11.7.12.3. Appraised After Disaster Incident

When the inspection date of the appraisal is after the disaster incident, the following requirements must be met:

- Appraiser must comment on the adverse event and any effect on marketability or value.
- Existing damage must meet requirements set forth in Deferred Maintenance.

11.7.12.4. Disaster Incident Occurs After Closing, Prior to Funding or Purchase

Loan is ineligible for purchase or funding until an appraisal update or final inspection from the appraiser is obtained.

- Appraiser must comment on the adverse event and certify there has been no decline in value.
- Existing damage must meet requirements set forth in Deferred Maintenance.

11.7.12.5. Verbal Verification of Employment Re-Verification

If a disaster event occurs after the verbal verification of employment (VVOE) has been completed, the broker must obtain an update to ensure the borrower is still employed and that they are continuing to receive the same amount of income.

11.7.13. ELECTRICAL SYSTEMS

An electrical certification from a licensed electrician is required if the appraisal notes a fair or poor rating concerning the adequacy or condition of the system. Any electrical inadequacies must be corrected prior to closing.

11.7.14. ENVIRONMENTAL HAZARDS

The appraisal report should note the existence of known environmental hazards and its effect on value and marketability of the subject property. Environmental hazards may include but are not limited to:

- Properties built on or near toxic waste dumps, cleanup sites, etc.

A property inspection completed by a licensed inspector is required in order to make final determination of the acceptability of the property. The borrower's acknowledgment of condition is required.

11.7.15. ESCROWS FOR WORK COMPLETION

Not allowed.

11.7.16. FLOOD ZONE

The appraisal should indicate if the property is located in a flood zone if mapping is available.

Refer to *Flood Insurance* and *Hazard Insurance* for additional information on flood certifications and flood insurance commonly referred to as hydrometerological coverage.

11.7.17. FOUNDATION SETTLEMENT

If the appraisal report notes evidence of excessive settlement, the appraiser must clearly define the effect on value and marketability of the subject property. Settlement problems which denote structural deficiencies and/or significant negative impact on value and marketability must be corrected prior to closing. Generally, a structural engineer's report is required prior to making a loan decision.

Properties with evidence of sinkhole activity are ineligible for financing.

11.7.18. HEATING AND COOLING SYSTEMS

A central heat source with ductwork or baseboard in all rooms is required on all properties if common/customary for the market. If subject doesnot have central heat and such is common and/or customary for the market overall, the appraiser must provide similar comparable properties and an addendum indicating:

- the heat source is typical for the area
- the heat source is permanently attached
- the heat source is adequate for the dwelling
- the heat source is externally vented

An air conditioning source is required on all properties where common/customary for the market. If subject does not have air conditioning (central or permanently attached mini-split system) and such is common and/or customary for the market overall, the appraiser must provide similar comparable properties and an addendum indicating:

- the cooing source is typical for the area
- the cooling source is permanently attached
- the cooling source is adequate for the dwelling
- the cooling source is externally vented

Note that in many Mexico property markets, due to the weather, centralized heating is not common or customary. Mini-splits are generally considered to be acceptable cooling source(s) for many Mexico markets.

11.7.19. LAND VALUE AND ACREAGE

Acreage and land value must be typical and common for the subject's market. Maximum acreage permitted is 3 acres. Investment property transactions are limited to 2 acres.

Special consideration should be taken for properties with land values that exceed 35% of the total property value to ensure the value is justified and the property has marketability. The appraisal report must provide data which indicates like-size properties with similar land values are typical and common in the subject's market area.

See also *Rural Properties*.

11.7.20. MULTIPLE DWELLINGS ON ONE LOT

Properties with 2 or more detached single-family homes on a single lot are generally ineligible for financing. Single-family properties containing additional residential dwellings (guesthouse, carriage house, etc.) must comply with local zoning regulations. They must be typical and common within the subject's neighborhood. Typically, the additional dwelling is smaller than the main dwelling and will not be rented.

The subject property should be appraised as a single-family residence. Any value for additional dwellings should be supported by comparable sales.

See also *Accessory Units*.

11.7.21. MULTIPLE PARCELS

When a property consists of more than one parcel of real estate, the following requirements must be met:

- Each parcel must be conveyed in its entirety.
- Parcels must be adjoined to the other, unless they comply with the following exception. Parcels that otherwise would be adjoined, but are divided by a road, are acceptable if the parcel without a residence is a non-buildable lot (for example, waterfront properties where the parcel without the residence provides access to the water). Evidence that the lot is non-buildable must be included in the loan file.
- Each parcel must have the same basic zoning.
- The entire property may contain only one dwelling unit. Limited additional nonresidential improvements, such as a garage, are acceptable. For example, the adjoining parcel may not have an additional dwelling unit. An improvement that has been built across lot lines is acceptable. For example, a home built across both parcels where the lot line runs under the home is acceptable.
- The loan must be collateralized by a valid first lien that covers each parcel.

11.7.22. NEW CONSTRUCTION

The following are required for all new construction properties:

- Appraisal update and/or completion report in a format that is generally acceptable in the local market that includes interior and exterior photos that validate property completion; if applicable, proposed improvements are not allowed.

11.7.23. PEST INFESTATION

If the appraisal report or sales contract notes evidence of termites or other insect infestation, a pest inspection report certifying treatment of the infestation prior to closing is required. Any significant structural damage due to pest infestation must be corrected prior to closing.

11.7.24. PLUMBING

A plumbing certification from a licensed plumber is required whenever the appraisal states a fair or poor rating concerning the adequacy or condition of the system. Any inadequacies must be corrected prior to closing.

11.7.25. PRIVATE ROADS

Properties on private roads are acceptable subject to the following:

- The title company must insure access to the subject property from a public street; and
- A legally enforceable agreement or covenant for maintenance of the street is required.
    - The agreement should include provisions for the responsibility for payment of repairs, including each party's representative share, default remedies in the event a party to the agreement or covenant fails to comply with his or her obligations, and the effective term of the agreement which in most cases should be perpetual and binding on any future owners.
    - If the property is located within an area that has statutory provisions that define the responsibilities of property owners for the maintenance and repair of a private street, no separate agreement or covenant is required. Any maintenance costs are to be included in the borrower's housing ratio.

11.7.26. PLANNED UNIT DEVELOPMENT

A Planned Unit Development ("PUD") is a project or subdivision that consists of common property and improvements that are owned and maintained by an owners' association for the benefit and use of the individual PUD units. In order for a project to qualify as a PUD, each unit owner's membership in the owners' association must be automatic and non-severable and the payment of assessments related to the unit must be mandatory. Zoning is not a basis for classifying a project or subdivision as a PUD. The PUD project must be analyzed to ensure that an individual unit in the project will be acceptable security for the mortgage.

11.7.26.1. Detached PUDS

If the subject property is a detached unit, no analysis is required.

11.7.26.2. Attached PUDS

Attached Type F PUD: the developer has not turned over voting control of the HOA to the unit purchasers. The project must meet the following eligibility criteria:

- The project cannot have been created by the conversion of existing buildings into a PUD.
- The project may not include any multi-dwelling units that represent the security for a single mortgage.
- A sufficient number of the total units in the project (or legal phase) must have been conveyed or be under contract to be sold to the purchasers in order to determine whether the presales will support the responsibilities of the owners' association for at least 2 years.
- The units must be owned in fee simple and the unit purchasers must the sole ownership interest in, and right to the use or, the projects' facilities once control of the owners' association has been turned over to them.

11.7.27. REPAIRS

The appraisal must identify all items that require repair. It should also include and describe physical deficiencies that could affect a property's soundness, structural integrity, livability or improvements that are incomplete. Any immediate or necessary repairs must be completed and re-inspected by the appraiser prior to closing.

See also *Deferred Maintenance*.

11.7.28. RURAL PROPERTIES

A property indicated by the appraisal as rural, or containing any of the following characteristics, is typically considered a rural property:

- Neighborhood is less than 25% built-up
- Area around the subject is zoned agricultural
- Comparables are more than 5 miles away from the subject
- Distance to schools and/or amenities are greater than 20 miles
- Subject property and or comparable have lot sizes greater than 10 acres (40,468 m2)
- Subject property and or comparable have outbuilding or large storage sheds

Rural properties are <u>ineligible</u> for financing.

11.7.29. SEPTIC SYSTEM/SEWAGE DISPOSAL SYSTEM

Sewage disposal systems may require certification if the appraiser or purchase contract indicates the necessity. The report should be provided by a city, county, state (or governing body) official or qualified entity stating:

- Sewage disposal system complies with applicable local and/or state health standards, is in proper working order, and can be expected to function satisfactorily; or

- Local health standards do not apply for the sewage disposal system; however, it is found to be in proper working order and adequate for the subject property
- For systems one-year-old or less, the certification may be no more than one-year-old on the date of closing. For systems more than one-year old, the certification should be no more than 120 days old on the date of closing.

11.7.30. SOLAR PANELS

Properties with solar panels are eligible for financing. If the property owner is the owner of the solar panels, standard eligibility requirements apply (for example, appraisal, insurance, and title). If the solar panels are leased from or owned by a third party under a power purchase agreement or other similar arrangement, the following requirements apply (whether to the original agreement or as subsequently amended):

- The solar panels may not be included in the appraised value of the property.
- The property must maintain access to an alternate source of electric power that meets community standards.
- The monthly lease payment must be included in the debt-to-income ratio calculation unless the lease is structured to:
    - provide delivery of a specific amount of energy at a fixed payment during a given period, and
    - have a production guarantee that compensates the borrower on a prorated basis in the event the solar panels fail to meet the energy output required for in the lease for that period.
- Payments under power purchase agreements where the payment is calculated solely based on the energy produced may be excluded from the DTI ratio.
- The lease or power purchase agreement must indicate that
    - any damage that occurs as a result of installation, malfunction, manufacturing defect, or the removal of the solar panels is the responsibility of the owner of the equipment and the owner must be obligated to repair the damage and return the improvements to their original or prior condition (for example, sound and watertight conditions that are architecturally consistent with the home);
    - the owner of the solar panels agrees not to be named loss payee (or named insured) on the property owner's property insurance policy covering the residential structure on which the panels are attached. As an alternative to this requirement, the lender may verify that the owner of the solar panels is not a named loss payee (or named insured) on the property owner's property insurance policy; and
    - in the event of foreclosure, the lender or assignee has the discretion to
        - terminate the agreement and require third-party owner to remove the equipment;
        - become, without payment of any transfer or similar fee, the beneficiary of the borrower's lease/agreement with the third party; or
        - enter into a new lease/agreement with the third party, under terms no less favorable than the prior owner.

11.7.31. UNCONVENTIONAL FLOOR PLANS

Properties with unusual floor plans or functional obsolescence are allowed if the appraisal demonstrates acceptability in the marketplace and includes appropriate adjustments. A floor plan sketch is required for all appraisals.

11.7.32. WATER SUPPLY

Water certification must be obtained if required by the appraiser or purchase contract. The report should be provided by a local official or a qualified entity stating:

- The water supply system is in proper working order and pumping an adequate supply of water for the subject property; and
- The water supply is potable and complies with local health authority standards (in the absence of a local health authority, a reputable chemical testing agency must certify that the water is fit for human consumption). The water certification(s) for existing properties can be no more than 90 days old on the date of closing. If new construction, the report may be one-year old as of the date of closing.

11.7.33. ZONING AND LAND-USE REGULATIONS

Property improvements must constitute a legally permissible use of the land based on the zoning ordinance. If the improvements represent a legal, non-conforming use of land, a letter from the local building authority or appraiser must be obtained to certify the subject property can be rebuilt “as is” in the event of partial or total destruction.

The appraiser must compare the existing and potential use of the subject property to the zoning regulations. In addition, the appraiser should note any adverse effect that a non-conforming use has on the value and marketability of the subject property.

Special consideration must be given to properties that are subject to other types of land use regulations, such as coastal tideland or wetland laws, as setback lines or other provisions may prevent reconstruction or maintenance of the property improvements in the event of damage or destruction.

The intent of some land-use regulations is to remove existing land uses and to stop land development (including the maintenance, or new construction, or seawalls) within specific setback lines. Except as stated above, properties with land-use restrictions which prohibit the reconstruction to maintenance the dwelling are ineligible.

11.8 CONDOMINIUMS

A condominium is a form of ownership in which the interior space is individually owned and the balance of the property (including land and building) is owned collectively with the other unit owners.

11.8.1. DEFINITIONS OF ESTABLISHED AND NEW CONDOMINIUMS

Specific eligibility criteria are dependent upon whether the condo project reviewed classified as established or new.

Condominium projects meet the following criteria:

- At least 25% of the total planned units in the project have been sold to unit purchasers
- Project is 50% complete, including all related units and common elements

11.8.2. GENERAL CONDOMINIUM REQUIREMENTS

All condominium projects must meet the following requirements:

- All common areas and amenities within the project or subject phase must be complete.
- Subject unit must have at least 1,000 square feet (92 square meters) of gross living space.
- The sustainability, marketability and financial stability of the project must be supported.
- Project must be located in an area where acceptability of condominium ownership is demonstrated.
- The project must be in compliance with all applicable local laws. The homeowners' association

must be incorporated in the state where the project is located.

- Condo projects must have acceptable insurance coverage.
- An environmental hazard assessment is required for condo projects if an environmental problem is identified by the broker or MoXi through performance underwriting or due diligence. The solution must be deemed acceptable by MoXi.
- Projects with pending or threatened litigation are typically ineligible. Litigation may be acceptable if it is determined to be minor and immaterial.
- The project must be located on one contiguous parcel of land. The project may be divided by a public street.
- The structures within the project must be within a reasonable distance from each other. Common elements and facilities, such as recreational facilities and parking, must be consistent with the nature of the project and competitive in the marketplace.
- MoXi will not finance more than 70% of the units (by count) within any one condominium project.
- The maximum loan concentration by an individual borrower in a particular condo development is 10%.

11.8.3. CONDOMINIUM PROJECT REVIEWS

A valid project review is required for all condominium transactions, along with a completed HOA Certification. The HOA certification may not be greater than 120 days old at the time of closing.

11.8.3.1. HOA Certification Review

For all established condominium projects an HOA certification review is required. Underwriters must review the completed Homeowners' Association Certification to ensure compliance with the following requirements:

- Project must meet the definition of an established condo.
- At least 50% of the total units in the project must be conveyed to purchasers as primary or 2nd homes
- No more than 15% of the total units in a project may be 60 days or more past due on their HOA dues.
- No single entity, the same individual, investor group, partnership, or corporation may own more than 10% of the total units in the project. For projects with 1-4 total units, single entity ownership may not exceed 1 unit. For 5-20 unit projects, single entity ownership may not exceed 2 units.
- No more than 10% of the total square footage of the project may be used for commercial purposes.
- Borrower may not be responsible for more than the greater of 6 months or the maximum amount permitted under applicable law of delinquent HOA dues.
- All facilities related to the project must be owned by the unit owners or the HOA cannot be subject to a lease between the unit owners or HOA and another party.
- HOA certification reflects the funding of replacement reserves for capital expenditures and deferred maintenance that is at least 10% of the budget.

11.8.4. SITE CONDOMINIUMS

Projects consisting of single-family detached dwellings (also known as site condominiums) are acceptable provided the appraisal supports market acceptance of site condominiums in the subject's market area.

The appraiser should include an adequate description of the project, information about the homeowners' association fees, and note the quality of the project maintenance.

11.8.5. INELIGIBLE PROJECTS

- Projects comprised of manufactured homes
- Projects with units used for 'live-work"
- Projects managed and operated as a hotel or motel
- Projects containing the word hotel or motel in the name
- Projects that restrict the owner's ability to occupy the unit
- Projects with mandatory rental pooling agreements that require unit owners to either rent their units or give a management firm control over unit occupancy
- Projects with non-incidental business operations owned or operated by the homeowners'
- association (such as a restaurant, spa, health club, etc.)
- Common interest apartments
- Timeshare ownership projects
- Continuing Care Retirement Communities or Life Care Facilities

- Multi-unit dwelling condos that permit an owner to hold title to more than one dwelling unit, with ownership of all of his or her owned units evidenced by a single deed and financed by a single mortgage

12. PROPERTY INSURANCE

12.1 HAZARD INSURANCE

12.1.1. MINIMUM HAZARD INSURANCE COVERAGE

Hazard insurance must protect against loss or damage from fire and other hazards covered by the standard extended coverage endorsement. The coverage must provide for claims to be settled on a replacement cost basis. Extended coverage must include, at a minimum, wind, smoke, hail, and damages caused by aircraft, vehicle, or explosion.

Hazard insurance policies that limit or exclude from coverage (in whole or in part) windstorm, hurricane, hail damages, or any other perils that normally are included under an extended coverage endorsement are not acceptable.

Borrowers may not obtain hazard insurance policies that include such limitations or exclusions, unless they are able to obtain a separate policy or endorsement from another commercial insurer that provides adequate coverage for the limited or excluded peril or from an insurance pool that the state has established to cover the limitations or exclusions.

Hazard insurance coverage should be in the amount of the lesser of:

- 100% of the insurable value of improvements, as established by the property insurer; or
- The unpaid principal balance of the mortgage, as long as it equals the minimum amount (80% of the insurable value of the improvements) required to compensate for damage or loss on a replacement cost basis. If it does not, then coverage that does provide the minimum required amount must be obtained.

12.1.2. DETERMINING THE AMOUNT OF REQUIRED HAZARD COVERAGE

The following tables describes how to calculate the amount of required hazard insurance coverage: DETERMINING HAZARD COVERAGE

- Compare the insurable value of the improvements as established by the property insurer to the unpaid principal balance of the mortgage loan.
  - o If the insurable value of the improvements is less than the unpaid principal balance, the insurable value is the amount of coverage required.
  - o If the unpaid principal balance of the mortgage loan is less than the insurable value of the improvements, proceed to the next step.
- Calculate 80% of the insurable value of the improvements.

- If the result of this calculation is equal to or less than the unpaid principal balance of the mortgage, the unpaid principal balance is the amount of coverage required.
- If the result of this calculation is greater than the unpaid principal balance of the mortgage, this calculated figure is the amount of coverage required.

12.1.3. DEDUCTIBLE AMOUNT

The maximum allowable deductible for insurance covering a property securing a first mortgage loan is 10% of the face amount of the policy. When a policy provides for a separate wind-loss deductible (either in the policy itself or in a separate endorsement), that deductible must be no greater than 10% of the face amount of the policy.

12.1.4. EVIDENCE OF HAZARD INSURANCE

Policy must be effective for at least 60 days after the date of funding (does not apply to condominium project insurance policies). Evidence of Insurance may be provided in one of the following forms:

- Policy
- Certificate of Insurance (COI)
- Insurance Binder

Evidence of Insurance must provide the following information:

- Names of borrowers reflect the same as the names on the note
- Property address agrees with the note/security instrument
- Policy Number
- Loan Number
- Name of insurance company
- Insurance Agent information
- Effective and expiration dates of coverage
- Premium Amount
- Coverage amount and deductible
- Loss payee clause as applicable
- Signed and dated by agent

12.1.5. OPTIONAL COVERAGE

Hazard insurance policies may include optional coverage(s) which are acceptable, but are not required. For example, a “homeowners” or “package” policy is acceptable as long as any part of the coverage that exceeds the required coverage is not obligated for renewal.

12.1.6. RATING REQUIREMENTS

The hazard insurance policy must be written by a carrier, or reinsurer, that has an acceptable insurer rating by *BAA or better rating from Moody's Investors Service, BBB or better rating from Standard and Poor's, Inc.

All such reinsurers are required to have acceptable experience and knowledge of the area where the property resides (i.e. in force policies, 5 year claims records etc.).

An insurance policy that includes either of the following endorsements will assure full insurable value replacement cost coverage:

- A Special Mortgage Endorsement (under which the insurer agrees to replace the insurable property regardless of the cost) and, if the policy includes a coinsurance clause, an Agreed Amount Endorsement (which waives the requirement for coinsurance).
- A Replacement Cost Endorsement is covered under the "Special Mortgage Endorsement" (under which the insurer agrees to pay up to 100% of the subject property's insurable replacement cost, but no more) and, if the policy includes a coinsurance clause, an Agreed Amount Endorsement (which waives the requirement for coinsurance).

Unless a higher maximum amount is required by law, the maximum deductible amount for policies covering the common elements in a PUD project is the lesser of $10,000 or 2% of the policy face amount. However, for losses related to individual PUD units that are covered by the blanket policy for the project, the maximum deductible related to the individual unit may not exceed 5% of the face amount of the insurance policy. Funds to cover these deductible amounts should be included in the operating reserve account that is maintained by the homeowners' association.

12.1.7. INSURED NAME

Hazard insurance policies must include "SINERGIA EMPRESARIAL CRECE, S.A.P.I. DE C.V., SOFOM, E.N.R." as its name appears in the security instrument. It must also include the language "its successors and assigns as their interest may appear".

12.1.8. APPROVED INSURER LIST

- AIG Seguros México
- CHUBB Seguros México
- Mapfre Seguros
- GNP Seguros

From time to time, MoXi may review and approve policies from additional insurance providers not listed here as long as both the carrier and the policy meet MoXi's guidelines for hazard insurance coverage. Insurance policy reviews may be conducted by MoXi's underwriting and legal departments.

12.2 CONDOMINIUM AND PUD PROJECT INSURANCE REQUIREMENTS

12.2.1. MINIMUM HAZARD INSURANCE COVERAGE

Insurance should cover 100% of the insurable replacement cost of the project improvements and common elements, including the individual units in the project.

If the subject property is an attached PUD or a condominium, the respective associations may acquire a blanket policy to cover the project. The entire project insurance policy should be reviewed to ensure the homeowners' association maintains a master or blanket type of insurance policy, with premiums being paid as a common expense. The policy must show the HOA as the named insured.

For PUD projects, individual insurance policies are also required for each unit. If the project's legal documents allow for blanket insurance policies to cover both the individual units and the common elements, blanket policies are acceptable in satisfaction of its insurance requirements for the units.

The policy must require the insurer to notify in writing the HOA (or insurance trustee) and each first lien holder named in the mortgagee clause at least 10 days before it cancels or substantially changes a condo project's coverage.

12.2.2. HO-6 INSURANCE COVERAGE FOR CONDOMINIUMS

In Mexico, the condominium hazard insurance is covered as an individual detached single family home with no additional requirements for multi-family properties.

12.2.3. DEDUCTIBLE AMOUNT

For policies covering the common elements in a PUD project and for policies covering condo projects, the maximum deductible amount must be no greater than 2% of the face amount of the policy.

For losses related to individual PUD units that are covered by the blanket policy for the project, the maximum deductible amount related to the individual unit should be no greater than 2% of the replacement cost of the unit. If, however, the policy provides for a wind-loss deductible (either in the policy itself or in a separate endorsement), that deductible must be no greater than 2% of the face amount of the policy.

For blanket insurance policies that cover both the individual units and the common elements, the maximum deductible amount related to the individual unit should be no greater than 2% of the replacement cost of the unit.

12.2.4. GENERAL LIABILITY COVERAGE

Project liability insurance requirements are as follows:

- The homeowners' association must maintain a commercial general liability insurance policy for condo projects, including all common areas and elements, public ways, and any other areas that are under its supervision.
- The insurance should cover commercial spaces that are owned by the homeowners' association, even if they are leased to others. The commercial general liability insurance policy should provide coverage for bodily injury and property damage that result from the operation, maintenance, or use of the project's common areas and elements.
- The amount of liability coverage should be at least $1,000,000 for bodily injury and property damage for any single occurrence.
- The policy should provide for at least thirty (30) days' written notice to the owners' association
- before the insurer can cancel or substantially modify it. For condominium projects, similar notice must also be given to each holder of a first mortgage or share loan on an individual unit in the project.

An insurance policy that includes either of the following endorsements will assure full insurable value replacement cost coverage:

- A Guaranteed Replacement Cost Endorsement (under which the insurer agrees to replace the insurable property regardless of the cost) and, if the policy includes a coinsurance clause, an Agreed Amount Endorsement (which waives the requirement for coinsurance); or
- A Replacement Cost Endorsement (under which the insurer agrees to pay up to 100% of the subject property's insurable replacement cost, but no more) and, if the policy includes a coinsurance clause, an Agreed Amount Endorsement (which waives the requirement for coinsurance).

12.3 FLOOD INSURANCE

12.3.1. MINIMUM FLOOD INSURANCE COVERAGE

The minimum amount of flood insurance (commonly referred to in Mexico as "hydrometerological coverage") required for most first mortgages secured by 1-unit properties and individual PUD units is the lower of:

- 100% of the replacement cost of the insurable value of the improvements; or
- the unpaid principal balance of the mortgage

12.3.2. PROJECT FLOOD INSURANCE REQUIREMENTS

The flood policy for a PUD or condominium project must cover any common element buildings and any other common property.

12.3.3. DEDUCTIBLE AMOUNT

Section I, Property

- Coverages A, B C, & C1 of Section I, has a Deductible of $1,000.00

- Coverage D1 & D2 of Section I, Property has a Deductible of 3 Day Waiting Period for each covered loss

Section II, Liability

- Coverages E & F do not have a Deductible
- Coverages E1 does not have a Deductible

Section III, Catastrophic Losses

- Coverages G deductible is 2.00% of the Limit of Coverage G, subject to a minimum of $10,000.00, plus 20.00% of the Loss
- Coverages H, I, J deductible is 2.00% of the Limit of Coverage G, subject to a minimum of $10,000.00, plus 20.00% of the Loss

12.3.4. EVIDENCE OF FLOOD INSURANCE

All insurance policies must include Flood (Hydrometerological) coverage and such coverage must be maintained throughout the duration of the loan.

Evidence of Insurance must provide the following information:

- Names of borrowers reflect the same as the note
- Property address agrees with the note/security instrument
- Policy Number
- Loan Number
- Name of insurance company
- Insurance Agent information
- Effective and expiration dates of coverage
- Premium Amount and deductible
- Coverage amount
- Loss payee clause as applicable
- Signed and dated by agent

12.4 TITLE POLICY REQUIREMENTS

Loans that are covered by a title insurance policy must include in the loan file: evidence that the premium has been paid in full and is valid, binding, and remains in full force and effect.

Preliminary title commitment must indicate that the final title policy will be issued after recording.

The title insurer must be qualified to do business in the location where the subject property is situated. The title insurer and policy must conform to all Mexico Government requirements.

12.4.1. BORROWER INFORMATION

All borrower names must be indicated on the title commitment. If the borrower's marital status appears to be different than on 1003, the discrepancy must be addressed. The property seller's name must be cross referenced to the purchase agreement and valuation chain of title.

12.4.2. COVERAGE AMOUNT

The amount of title insurance coverage must at least equal the original principal amount of the loan.

12.4.3. INSURED NAME

Title policy must insure "SINERGIA EMPRESARIAL CRECE, S.A.P.I. DE C.V., SOFOM, E.N.R." as its name appears in the security instrument. It must also include the language "its successors and assigns as their interest may appear."

12.4.4. AGE OF REPORT

The preliminary title report/title commitment should be dated no later than 21 days prior to closing. Any requirements by title, such as Statements of Information or copies of trust agreements, must be cleared prior to closing.

12.4.5. VESTING

Final title policy vesting should reflect the name(s) of the individual borrower(s).See *Vesting and Ownership*.

12.4.6. GAP COVERAGE

The preliminary title report/title commitment must be updated after closing in writing to ensure the mortgage is in first lien position and documented through one of the following:

- Final title policy
- Title bring-down search representing the period of time from the original search through the time the mortgage is recorded
- Gap coverage from the time of the original search until the mortgage is recorded, when the mortgage is not recorded at the time of diligence

12.4.7. TITLE POLICY FORMS

The final title policy must be written on one of the following forms:

- Similar to the 2006 American Land Title Association (ALTA) standard form

12.4.8. TITLE POLICY UNDERWRITER

A nationally recognized insurer or reinsurer which has received one of the following ratings must have underwritten the title insurance policy:

- BAA or better rating from Moody's Investors Service
- BBB or better rating from Standard and Poor's, Inc.
- Approved underwriters, includes:
  - Lloyds (Armour Secure)
  - Stewart Title

12.5 TITLE COMMITMENT REVIEW

12.5.1. CHAIN OF TITLE

All files are to contain a 24-month title history from an acceptable source. Transfer date, price, and buyer and seller names on any title transfers that occurred within the previous 24 months should be provided. The vesting history should be reviewed for inconsistencies or any indication of flipping activity.

12.5.2. TITLE EXCEPTIONS

The following items are allowable title exceptions:

- Customary public utility subsurface easements; the location of which are fixed and can be verified. The exercise of rights of easement will not interfere with use and enjoyment of any improvement of the subject property or proposed improvements upon which the appraisal or loan is based.
- Above-surface public utility easements that extend along one or more property lines for distribution purposes, or along the rear property line for drainage, provided they do not extend more than 12 feet from the subject property lines and do not interfere with any of the buildings or improvements, or with the use of the subject property; and public utility restrictions, provided their violation will not result in the forfeiture or reversion of title or a lien of any kind for damages, or have an adverse effect on the fair market value of the subject property.
- Mutual easement agreements that establish joint driveways or party walls constructed on the subject property and on an adjoining property, provided all future owners have unlimited and unrestricted use of them.
- Encroachments on one foot or less on adjoining property by eaves or other overhanging projections or by driveways provided there is at least a 10-foot clearance between the buildings on the subject property and the property line affected by the encroachments.
- Encroachments on the subject property by improvements on adjoining property provided these encroachments extend one foot or less over the property line of the subject property, have a total area of 50 square feet or less, do not touch any buildings, and do not interfere with the use of any improvements on the subject property or the use of the subject property not occupied by improvements.
- Encroachments on adjoining properties by hedges or removable fences.

- Liens for real estate or ad valor taxes and assessments not yet due and payable.
- Outstanding oil, water, or mineral rights as long as they do not materially alter the contour of the property or impair its value or usefulness for its intended purposes.

12.5.3. SURVEY REQUIREMENTS

If the title company requires a survey or plat map due to an exception noted on the title policy, a copy must be submitted in the loan file. Surveys must be certified, dated, and signed by the licensed civil engineer or registered surveyor performing the survey. Unimproved land surveys are not acceptable. Surveys should be reviewed for easements, encroachments, flood zone impacts, and possible boundary violations, taking into account the location of the dwelling on the property.

12.5.4. LEGAL TITLE OPINION/TITLE INSURANCE NOT AVAILABLE

MoXi understands that in some areas in Mexico, no title insurance is available for properties desirable to US Citizen borrowers. MoXi may consider originating loans where a legal title opinion is accepted in lieu of a title policy, subject to conditions and restrictions. Approval is not guaranteed.

- Legal title opinion may not be used to bypass the inability to obtain title insurance when a title insurer is available within the specified location and declines to provide coverage due to a known cloud or defect on the title, including properties within master-planned communities that suffer blanket defects due to underlying land concerns, even if the specific property and lot is not affected.
- All legal title opinion approvals will be subject to risk-based pricing including increase in interest rates and/or fees according to the pricing grid in effect at the time of origination
- The requirements of each state and/or municipality must be considered with regard to "recognition of lien perfection." States that do not recognize lien perfection until the deed is recorded will be evaluated at a higher risk level than states that recognize lien perfection at the time of transfer
- A full legal diligence review that includes, but is not limited to title history search and investigation will be required for each legal title opinion transaction. All costs associated with required diligence reviews will not be absorbed by the company and fees must be collected in advance; prospective borrowers are to be noticed that any fees paid for such searches are non-refundable regardless of the outcome of the diligence review
- The due diligence provider must provide a risk rating with the diligence report
- The diligence report must confirm that the property is free from liens, defects, clouds, unclear history, ejido claims, and any other concerns that would jeopardize the ownership of and security interests in the property
- MoXi may require a fully executed seller affidavit for legal title opinion transactions to be executed prior to full approval and ratified during/at the loan closing appointment (before disbursement)
- An attorney's opinion of title is acceptable to the buyer in lieu of a title insurance policy if the following conditions are met, with reasonable allowance and understanding for local market customs and availability of information:
- The opinion must be addressed to the Seller and all successors in interest of the Seller

- The opinion must be given by an attorney licensed to practice law in the jurisdiction where the Mortgaged Premises is located. The attorney must also be insured against malpractice in an amount commonly prevailing in the jurisdiction, taking into account the volume of opinions rendered by the attorney.
- The opinion must not take exception to survey matters. When the attorney's opinion takes exception to survey matters, the Seller must provide whatever information is required by the attorney to remove the exception. If the attorney will not issue the title opinion without a survey exception, the loan may be subject to refusal to purchase.
- The Mortgage must not be:
  - A Cooperative Share Loan
  - Secured by a dwelling on a leasehold estate
  - Secured by a Manufactured Home
  - Secured by property subject to restrictive agreements or restrictive covenants
- An attorney's opinion of title must be commonly acceptable in lieu of title insurance in the area where the Mortgaged Premises are located
- The following opinion relating to prior environmental protection liens should be given in lieu of the American Land Title Association (ALTA) Endorsement 8.1 in an attorney's opinion of title. Item (i) of the opinion refers to environmental liens at the time the opinion is issued; item (ii) refers to State lien statutes that could give rise to a priority lien. An attorney may include an exception in item (ii) for possible subsequent super liens that could take priority over the Mortgage only if the Mortgaged Premises is located in a State whose State statutes provide for such a super lien:
- "There is (i) no environmental protection lien recorded in those records established under State statutes for the purpose of imparting constructive notice of matters relating to real property to purchasers for value and without knowledge, or filed in the records of the clerk of the United States district court for the district in which the land is located, nor (ii) are there any environmental protection liens provided for by any State statute in effect on the date of this opinion, which could achieve priority over the Mortgage except those listed below (list any State statute that allows a lien for environmental protection that can attain priority over the lien of the insured Mortgage; if none, state 'none')."
- The following opinion must be given in lieu of the applicable ALTA form for ARMs, if applicable: "The law of the State in which the property securing the Mortgage is located provides that (i) the lien of the Mortgage will not become invalid or unenforceable resulting from provisions in the Mortgage which provide for changes in the interest rate calculated pursuant to the formula provided in the Mortgage, and (ii) priority of the lien of the Mortgage for the UPB of the loan, together with interest as changed and other sums advanced by the Noteholder in accordance with the provisions of the Mortgage, will not be lost as a result of changes in the rate of interest calculated pursuant to the formula provided in the Mortgage."
- Mortgages secured by units in Planned Unit Developments (PUDs) for which an attorney's opinion of title was obtained in lieu of a title insurance policy shall be eligible for purchase, provided that:
- The opinion of title meets the requirements of this Section and in addition includes the following statements:
  - There is no violation of any restrictive covenants that are in the PUD constituent documents or available condo regime documents and restrict the use of the land

- All dues applicable to the Mortgages Premises are current and not delinquent at the time of origination
- No recorded right of first refusal to purchase the land was exercised or could have been exercised on or before the closing date of the Mortgage and the undersigned is unaware of the existence or the exercise of any right of first refusal on or before the closing date of the Mortgage, and
- The Seller maintains a copy of the attorney's opinion of title in the Mortgage file

12.6 SERVICING

Borrowers are required to establish initial and monthly escrow for annual taxes, hazard insurance, flood insurance (if applicable), and HO-6 insurance coverage (if applicable), unless otherwise specified by applicable law. One twelfth (1/12) of the annual premiums are to be paid with the principal and interest payments and at closing, the impound account must be funded with a minimum of three (3) months of forecasted property taxes, hazard insurance, fiduciary fees. At settlement, impound account deposits should include collection of sufficient funds to pay upcoming obligations based on settlement date and forecasted disbursement date. For example, discretion should be used to calculate amounts collected at closing to ensure sufficient funds for payment where a closing takes place in September, property tax is expected to be assessed in November, and will be delinquent by January.

13. LOAN DOCUMENT DELIVERY REQUIREMENTS (CLOSING DEPARTMENT REQUIREMENTS)

PURCHASE AND SALE DOCUMENTS

DOCUMENT NAME	CUSTODIAN	DILIGENCE VENDOR	INVESTOR	NOTARIO	PUBLIC REGISTRY	SERVICER	TRUSTEE
Assignment of Mortgage	CERTIFIED COPY - BOTH	IMAGED COPY - BOTH	IMAGED COPY - BOTH	ORIGINAL SIGNED	REGISTERED	IMAGED COPY - BOTH	IMAGED COPY - BOTH
Assignment of Pledged Trust Rights	CERTIFIED COPY - BOTH	IMAGED COPY - BOTH	IMAGED COPY - BOTH	ORIGINAL SIGNED	REGISTERED	IMAGED COPY - BOTH	IMAGED COPY - BOTH
Funding Schedule			ELECTRONIC FILE (XLS)				
Mortgage Loan Schedule	ELECTRONIC FILE (XLS)	ELECTRONIC FILE (XLS)	ELECTRONIC FILE (XLS)			ELECTRONIC FILE (XLS)	
Notice & Acknowledgment Agmt	CERTIFIED COPY - BOTH	IMAGED COPY - BOTH	IMAGED COPY - BOTH	ORIGINAL SIGNED	REGISTERED	IMAGED COPY - BOTH	IMAGED COPY - SPA
Promissory Note - Endorsement	ORIGINAL - BOTH	IMAGED COPY - BOTH	IMAGED COPY - BOTH			IMAGED COPY - BOTH	CERTIFIED COPY - BOTH
Purchase Advise	IMAGED COPY - ENG		IMAGED COPY - ENG			IMAGED COPY - ENG	
Officers Certificate (*mortgage out for recording*)	ORIGINAL SIGNED	IMAGED COPY - ENG	IMAGED COPY - ENG				

UNDERWRITING & PROCESS FILES/DOCUMENTS

DOCUMENT NAME	CUSTODIAN	DILIGENCE VENDOR	INVESTOR	NOTARIO	PUBLIC REGISTRY	SERVICER	TRUSTEE
1099 / 1098 Forms (IRS)		IMAGED COPY - ENG	IMAGED COPY - ENG				
Asset Statements		IMAGED COPY - ENG	IMAGED COPY - ENG				
Personal Bank Statements		IMAGED COPY - ENG	IMAGED COPY - ENG				
Business Bank Statements		IMAGED COPY - ENG	IMAGED COPY - ENG				
Business Tax Forms			IMAGED COPY - ENG				
Certificate of no debt of property taxes	CERTIFIED COPY - SPA	IMAGED COPY - SPA	IMAGED COPY - SPA	ORIGINAL SIGNED	REGISTERED	IMAGED COPY - SPA	CERTIFIED COPY - SPA
Certificate of No Liens with preventive notice	CERTIFIED COPY - SPA	IMAGED COPY - SPA	IMAGED COPY - SPA	ORIGINAL SIGNED	REGISTERED	IMAGED COPY - SPA	CERTIFIED COPY - SPA
Credit Authorization Form		IMAGED COPY - ENG	IMAGED COPY - ENG				
Credit Report (< 120 from closing date)		IMAGED COPY - ENG	IMAGED COPY - ENG				

UNDERWRITING & PROCESS FILES/DOCUMENTS

DOCUMENT NAME	CUSTODIAN	DILIGENCE VENDOR	INVESTOR	NOTARIO	PUBLIC REGISTRY	SERVICER	TRUSTEE
Drivers License		IMAGED COPY - ENG	IMAGED COPY - ENG	IMAGED COPY - ENG	REGISTERED		
Estimated Closing Costs			IMAGED COPY - ENG				
Form 4506T		IMAGED COPY - ENG	IMAGED COPY - ENG				
HOA Letter of no debt water	CERTIFIED COPY - SPA	IMAGED COPY - SPA	IMAGED COPY - SPA	ORIGINAL SIGNED	REGISTERED	IMAGED COPY - SPA	CERTIFIED COPY - SPA
Income Calculation (DTI)		IMAGED COPY - ENG	IMAGED COPY - ENG				
Legal Rep Identification		IMAGED COPY - SPA	IMAGED COPY - SPA				
Legal Rep POA		IMAGED COPY - SPA	IMAGED COPY - SPA				
Loan Application - 1003		IMAGED COPY - ENG	IMAGED COPY - ENG				
Loan Application - Prequalification Quick		IMAGED COPY - ENG	IMAGED COPY - ENG				
Mexican Compliance Documents		IMAGED COPY - SPA	IMAGED COPY - SPA				
Passport		IMAGED COPY - ENG	IMAGED COPY - ENG	IMAGED COPY - ENG	REGISTERED	CERTIFIED COPY - ENG	CERTIFIED COPY - ENG
Permit issued by the Secretary of Foreign Affairs	IMAGED COPY - SPA	IMAGED COPY - SPA	IMAGED COPY - SPA	ORIGINAL SIGNED	REGISTERED	IMAGED COPY - SPA	CERTIFIED COPY - SPA
Proof of Address		IMAGED COPY - ENG	IMAGED COPY - ENG	ORIGINAL SIGNED	REGISTERED	CERTIFIED COPY - ENG	CERTIFIED COPY - ENG
Property Floor Plan		IMAGED COPY - SPA	IMAGED COPY - SPA	ORIGINAL SIGNED	REGISTERED	IMAGED COPY - SPA	CERTIFIED COPY - SPA
Social Security Card		IMAGED COPY - ENG	IMAGED COPY - ENG			IMAGED COPY - ENG	
Social Security Number Verification Authorization		IMAGED COPY - ENG	IMAGED COPY - ENG				
Tax Returns		IMAGED COPY - ENG	IMAGED COPY - ENG				
Verification of Employment		IMAGED COPY - ENG	IMAGED COPY - ENG				
W2		IMAGED COPY - ENG	IMAGED COPY - ENG				
Uniform Underwriting & Transmittal Summary (1008)		IMAGED COPY - ENG	IMAGED COPY - ENG				
Other items obtained for underwriting purposes		IMAGED COPY - ENG	IMAGED COPY - ENG				

14. LOAN DOCUMENT DELIVERY REQUIREMENTS (CLOSING DEPARTMENT REQUIREMENTS)

MoXi's loan origination entity submits certain commissions and fees charged to borrowers to the Mexican authorities. As a condition to originating any loan, MoXi may not charge the borrower commissions or fees that are not included below, nor may the commissions or fees exceed those set forth in the table below.

FEE OR COMMISSION	MAXIMUM ALLOWABLE FEE OR COMMISSION
Loan Origination Fee	4.5% of original loan balance
Administration Fee	$20,000 MXN pesos. The Administration Fee is charged in US dollars, therefore, exchange rate conversion should be as of the date of closing (end of day exchange rate).
Default Interest Charge	35.0%, provided however, the percentage may be higher if there is evidence the lender provided sufficient notice to CONDUSEF.
Late Charge Fee	10.0% of past due principal.
Collection Fee	20.0% of the outstanding loan balance at the time of default.
Liquidated Damages	$500.00 per day.